L.L. Bean: Email & Catalog Performance Analysis

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Each Channel Serves a Purpose

I worked on a project for a very large retail brand, a large and failing retail brand. I spent several days sitting in meetings with the Executive Team. There were countless discussion about how each channel fit into the corporate puzzle. Almost every Executive hated the catalog as currently configured, except for an Inventory Executive who adored a catalog channel that generated sales and profit. This lone wolf fought valiantly against a team that had clearly been influenced by Management Consultants.

Those influenced by Management Consultants wished to integrate the entire business around a sizeable minority of the merchandise assortment. This fraction of the Executive Team repeatedly mentioned "seamless commerce", a concept that they interpreted as a customer being able to buy merchandise wherever the customer wanted, however the customer wanted. In order to do this, every single channel had to have the same voice to the customer. Presentation in retail stores had to look identical to presentation in catalogs. Presentation in email had to look the same as presentation on the home page and key landing pages. The merchandise had to perfectly align across channels.

The Management Team decided to fully align the brand. Same merchandise, presented the same way, across all channels.

That's when sales tanked.

The biggest challenge was customer acquisition. When the merchandise changed in the catalog and when the presentation changed in the catalog, customer acquisition efforts plummeted. Turns out it takes years to learn how to acquire customers when the merchandise assortment changes and merchandise presentation tactics change. Existing customers largely tolerated the changes, with minor sales declines. And the small fraction of loyal, rural catalog shoppers? Their productivity cratered, as expected.

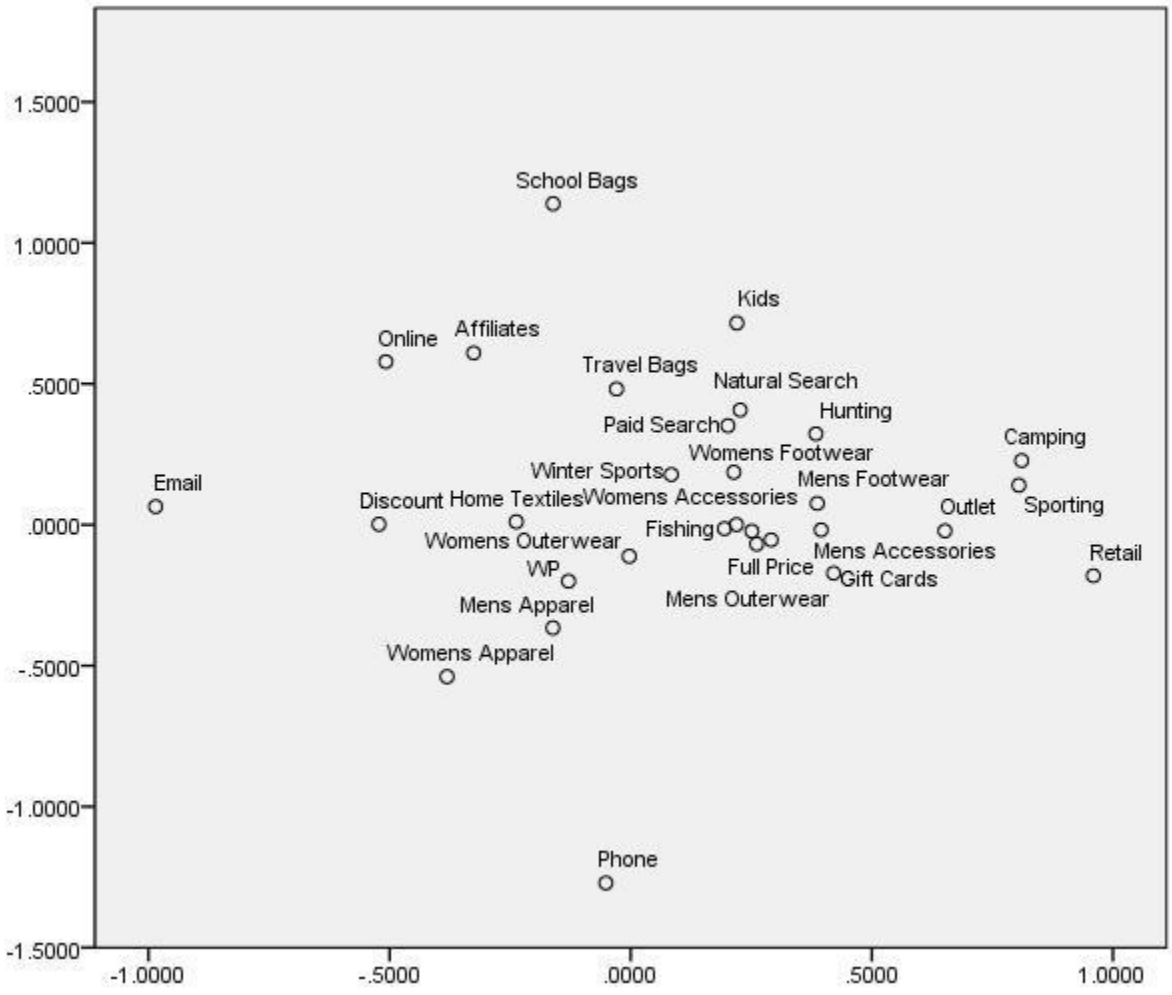
One might think that the Executive Team did not understand how channels aligned with each other, and did not understand how customers behaved across channels. Not true. This company had significant analytical assistance. The analysts demonstrated that customers exhibited different behavior across channels. The Executive Team believed that they knew what customers wanted, and executed along their belief system. Sales dropped by more than 10%.

I'll restate what I just said for effect. The Executive Team understood how their merchandise / channel ecosystem worked. The Executive Team decided to act in a

manner incongruent with how their merchandise / channel ecosystem worked. Customers chose to spend significantly less as a result.

The L.L. Bean Ecosystem

In an earlier tidbit, I shared what the direct channel ecosystem looked like. I expanded upon this research, creating an image that illustrates the way the entire L.L. Bean merchandise / channel ecosystem looks. Take a peek.



In this image, the closer that data points are to each other, the more likely it is that customers share those two data points in their customer profile. In other words, it should surprise nobody that Camping and Sporting dots are next to each other, this makes logical sense.

Notice that various channels form “outliers” in the image. Retail and Outlet are on the far right. Phone is on the far bottom. Email is on the far left. Online skews toward the top, leaning toward email. This tells us that there are differences in how customers use channels. Let’s explore some of the merchandise-centric data points that are near each of the channels.

- Email = Discounts, Womens Apparel.
- Phone = Womens Apparel, Mens Apparel.
- Retail = Camping, Sporting, Hunting, Mens, Full Price.
- Online = Apparel, Home, Bags, Discounts.
- Search = Halfway Between Online & Retail, Skewed A Bit Away from Apparel.

It does not matter if you designed your ecosystem this way, or if your customers naturally aligned in this manner. This *is* your ecosystem.

Email marketing is the place where customers go to get the best prices.

Phone is the place were older, rural customers use catalogs to purchase apparel.

Retail is the place where customers purchase masculine outdoor products.

Search is a bridge between online behavior and retail merchandise.

Your website becomes a melting pot of behavior experienced across all other channels, skewed to apparel and discounts.

Now, most of my clients see an analysis like this, and the begin thinking how the company at the start of the paper thinks – they immediately begin thinking about integrating all channels and synergizing the business to create an optimal experience for “the customer”.

Some of my clients see this differently. They see that each channel attracts a certain type of customer with specific merchandise interests, and they begin a process of personalizing individual customer experiences. When a loyal retail buyer visits the website, the home page and landing pages are personalized to reflect retail buying history. Similarly, the catalog is primarily used to drive the items that sell best in print to customers in rural markets. Email is personalized to capitalize on discount/promo behavior for off-price buyers, and is personalized for the retail experience where applicable.

Most of my clients look at the data, and come to one of those two conclusions. Neither is right, neither is wrong. In the short-term, the personalization approach protects sales. In the long-term, it could be that integrating merchandise across channels is the right decision even if sales decline (they almost always decline) in the short-term.

The focus of this project was on the email marketing channel, and catalog productivity to a lesser extent. The ecosystem analysis above clearly suggests that email marketing is the place where discount/promo buyers look for the best deals, and then take

advantage of the best deals. Odds are that, over the course of fifteen years, L.L. Bean (and most brands) caused this to happen, in an effort to make sure that email performance metrics were "optimized". The best way to maximize email (open/clicks/conversion) performance is to write compelling subject lines and to offer promotions that increase response. Over time, the audience that responds to this tactic aligns with email marketing.

Regarding email performance – it became clear in the analysis that you significantly ramped-up email contacts, on an annual basis. Your efforts caused more customers to open, more customers to click, and until recently caused more customers to purchase. However, individual campaign metrics looked worse, because you saturated your customer with additional contacts. In the past year, total email demand began to decline as well. This does not appear to be an issue with email marketing as much as the fact that you significantly de-emphasized discounts/promotions … the very tactic that your email customer base adores. With fewer discounts/promotions, your email customer base predictably elected to spend less. I don't think you necessarily have a problem with your email marketing program, you have a game of whack-a-mole where you made a choice to discount/promote less and that choice spilled over into email marketing productivity. A decision that is potentially right for "the brand" and right for the profit/loss statement is not necessarily a decision that is right for email marketing, and vice versa.

If I could summarize the entire project in one sentence, it would be this one:

- Email is the place your customers go to get the best discounts/promotions.

Here Is What You Are Going To Learn

1. You heavily discounted 13-24 years ago, and switched back to more of a full-price focus in the past year.
2. Email gross margins are lowest among direct channels.
3. Email buyers purchase a disproportionate amount of discounted merchandise.
4. Email marketing does not cause customers to be discount-centric in the future. It appears that discount-centric customers are attracted to email marketing.
5. A portion of the recent shortfall in email marketing demand has to be attributed to a reduction in performance of new items.
6. Something happened around January 1, 2015 … causing the number of households to be sent email campaigns and to visit the website to decline. This, to me, seems to be an operational issue (I could be wrong) and not a symptom of good/bad marketing.
7. You are unable to see $35,000,000 of incremental future demand (and likely $10,000,000 of future incremental profit) generated by those who simply click on multiple email campaigns per year. This value is above-and-beyond the

$189,000,000 of annual demand generated by email marketing, and is likely under-stated by several million dollars).

8. Where possible, please try to take a long-term view of email marketing. Individual campaign metrics are skewed by discounting strategy and number of sends per week. If performance (total email demand per household, households with 2+ clicks per year) struggles on a quarterly or annual basis, then there is cause to be concerned.
9. There is no correlation in the modest reduction in customer spend and the modest reduction in catalog circulation per household. Spend changes are not happening because of the catalog, based on the data I analyzed.
10. There appears to be a change in catalog new + reactivated investment – increases in December 2013 – June 2015, followed by reductions beginning in July 2015. This may be the right thing for the business, I just want you to be aware of it.
11. One can make the case that the drop in demand in the year ending 3/31/2016 is caused by a drop in quantity/quality of new items and a drop in catalog prospecting/reactivation.

Having said that, let's get to the content that allows me to make the eleven points.

What Is Causing Email Demand Shortfalls?

One of the first things I noticed when evaluating email performance is price points. Specifically, I repeatedly noticed that customers purchased at price points that were +/- $4 - $5 lower than what was purchased in other channels.

Look at the average price points across categories, after segmenting by email buyers / email clickers / email openers / sent email campaigns / all other customers.

Year Ending March 31, 2016	No Email Clicks or Email Purchases LY	1+ Email Click, No Email Purchases	Email Purchasers - What They Buy Online Outside Of Email Marketing	Purchased Via Email Marketing		Clickers	Buy But Not Via Email Mar-keting	Pur-chased Via Email Mar-keting
Boys	$40.78	$40.23	$37.05	$34.61		-1.4%	-9.1%	-15.1%
Camping and Hiking	$68.00	$70.33	$69.19	$63.94		3.4%	1.8%	-6.0%
Fishing	$62.01	$61.13	$55.50	$51.26		-1.4%	-10.5%	-17.3%
General Sporting	$50.66	$56.21	$53.74	$44.36		11.0%	6.1%	-12.4%
Gift Cards / Certificates	$75.10	$73.94	$70.48	$76.52		-1.6%	-6.2%	1.9%
Girls	$35.01	$34.15	$31.64	$29.85		-2.5%	-9.6%	-14.7%
Home Accessories	$53.22	$54.85	$55.21	$54.34		3.1%	3.8%	2.1%
Home Textiles	$73.34	$75.66	$72.24	$67.76		3.2%	-1.5%	-7.6%
Hunting	$69.38	$68.96	$62.89	$57.41		-0.6%	-9.4%	-17.3%
Kids Joint	$37.92	$38.12	$37.11	$36.13		0.5%	-2.1%	-4.7%
Mens Accessories	$31.47	$31.52	$30.95	$29.48		0.2%	-1.6%	-6.3%
Mens Apparel	$44.49	$44.13	$43.29	$41.51		-0.8%	-2.7%	-6.7%
Mens Footwear	$82.90	$84.16	$83.26	$77.79		1.5%	0.4%	-6.2%
Mens Outerwear	$120.00	$120.83	$118.07	$109.67		0.7%	-1.6%	-8.6%
School Bags and Accessories	$39.53	$39.22	$38.62	$36.94		-0.8%	-2.3%	-6.5%
Travel Bags and Accessories	$54.66	$57.08	$58.36	$54.96		4.4%	6.8%	0.5%
Winter Sports	$92.68	$97.53	$94.68	$86.20		5.2%	2.2%	-7.0%
Winter Accessories	$33.28	$31.94	$30.89	$29.01		-4.0%	-7.2%	-12.8%
Womens Apparel	$40.84	$40.37	$39.36	$37.40		-1.1%	-3.6%	-8.4%
Womens Footwear	$79.40	$80.46	$77.59	$72.09		1.3%	-2.3%	-9.2%
Womens Outerwear	$118.72	$118.99	$114.77	$105.78		0.2%	-3.3%	-10.9%
Other	$113.04	$113.77	$105.55	$97.90		0.6%	-6.6%	-13.4%
Totals	$54.52	$55.26	$52.57	$48.44		1.4%	-3.6%	-11.1%

Those who purchase via email marketing consistently buy at lower price point items. But when these customers buy elsewhere across the brand (direct channel), their price points are much closer to the price points everybody else buys at.

The data is similar in the year ending March 31, 2015.

Year Ending March 31, 2015	No Email Clicks or Email Purchases LY	1+ Email Click, No Email Purchases	Email Purchasers - What They Buy Online Outside Of Email Marketing	Purchased Via Email Marketing		Clickers	Buy But Not Via Email Mar-keting	Pur-chased Via Email Mar-keting
Boys	$36.98	$37.16	$34.40	$33.83		0.5%	-7.0%	-8.5%
Camping and Hiking	$64.38	$67.20	$65.06	$60.99		4.4%	1.1%	-5.3%
Fishing	$59.34	$59.47	$54.62	$50.82		0.2%	-8.0%	-14.4%
General Sporting	$44.27	$49.13	$47.38	$39.70		11.0%	7.0%	-10.3%
Gift Cards / Certificates	$73.92	$72.19	$67.99	$75.32		-2.3%	-8.0%	1.9%
Girls	$31.68	$31.44	$29.11	$29.01		-0.7%	-8.1%	-8.4%
Home Accessories	$51.96	$53.65	$54.05	$52.61		3.2%	4.0%	1.3%
Home Textiles	$65.88	$67.73	$65.66	$60.74		2.8%	-0.3%	-7.8%
Hunting	$68.95	$69.16	$64.25	$56.33		0.3%	-6.8%	-18.3%
Kids Joint	$36.67	$36.71	$35.75	$34.66		0.1%	-2.5%	-5.5%
Mens Accessories	$31.93	$31.81	$31.12	$30.08		-0.4%	-2.6%	-5.8%
Mens Apparel	$43.52	$43.23	$42.47	$40.84		-0.7%	-2.4%	-6.1%
Mens Footwear	$78.32	$80.37	$79.87	$76.16		2.6%	2.0%	-2.8%
Mens Outerwear	$112.69	$114.89	$112.38	$107.47		2.0%	-0.3%	-4.6%
School Bags and Accessories	$38.09	$37.91	$37.42	$36.95		-0.5%	-1.8%	-3.0%
Travel Bags and Accessories	$52.67	$55.87	$56.16	$53.02		6.1%	6.6%	0.7%
Winter Sports	$83.56	$86.50	$85.06	$76.45		3.5%	1.8%	-8.5%
Winter Accessories	$34.71	$33.49	$32.51	$30.98		-3.5%	-6.3%	-10.8%
Womens Apparel	$39.49	$39.18	$38.25	$36.19		-0.8%	-3.2%	-8.4%
Womens Footwear	$73.88	$76.18	$74.13	$70.74		3.1%	0.3%	-4.3%
Womens Outerwear	$112.34	$113.72	$110.19	$106.46		1.2%	-1.9%	-5.2%
Other	$115.12	$118.70	$109.83	$100.37		3.1%	-4.6%	-12.8%
Totals	$52.11	$53.11	$50.80	$47.21		1.9%	-2.5%	-9.4%

And the data is similar for the year ending March 31, 2014.

Year Ending March 31, 2014	No Email Clicks or Email Purchases LY	1+ Email Click, No Email Purchases	Email Purchasers - What They Buy Online Outside Of Email Marketing	Purchased Via Email Marketing		Clickers	Buy But Not Via Email Mar-keting	Pur-chased Via Email Mar-keting
Boys	$37.17	$37.22	$34.07	$32.63		0.1%	-8.3%	-12.2%
Camping and Hiking	$63.24	$64.93	$61.96	$58.66		2.7%	-2.0%	-7.2%
Fishing	$59.49	$60.40	$55.91	$51.42		1.5%	-6.0%	-13.6%
General Sporting	$38.45	$42.32	$39.16	$36.36		10.1%	1.8%	-5.4%
Gift Cards / Certificates	$71.55	$69.69	$65.47	$73.20		-2.6%	-8.5%	2.3%
Girls	$32.86	$32.36	$29.41	$28.30		-1.5%	-10.5%	-13.9%
Home Accessories	$51.94	$53.80	$54.09	$53.31		3.6%	4.1%	2.6%
Home Textiles	$60.10	$61.20	$59.26	$53.84		1.8%	-1.4%	-10.4%
Hunting	$66.49	$65.62	$61.66	$53.64		-1.3%	-7.3%	-19.3%
Kids Joint	$34.81	$34.45	$33.44	$31.91		-1.0%	-3.9%	-8.3%
Mens Accessories	$30.95	$30.29	$29.02	$27.66		-2.1%	-6.2%	-10.6%
Mens Apparel	$42.25	$42.26	$41.69	$39.84		0.0%	-1.3%	-5.7%
Mens Footwear	$75.76	$77.00	$76.45	$73.21		1.6%	0.9%	-3.4%
Mens Outerwear	$103.77	$104.79	$102.76	$96.31		1.0%	-1.0%	-7.2%
School Bags and Accessories	$43.76	$43.10	$41.76	$42.48		-1.5%	-4.6%	-2.9%
Travel Bags and Accessories	$51.06	$54.08	$55.20	$52.11		5.9%	8.1%	2.1%
Winter Sports	$76.04	$79.81	$77.11	$69.86		5.0%	1.4%	-8.1%
Winter Accessories	$33.93	$32.54	$30.94	$29.73		-4.1%	-8.8%	-12.4%
Womens Apparel	$38.26	$38.33	$37.64	$35.84		0.2%	-1.6%	-6.3%
Womens Footwear	$69.83	$71.01	$68.83	$66.02		1.7%	-1.4%	-5.5%
Womens Outerwear	$104.18	$103.03	$98.69	$94.32		-1.1%	-5.3%	-9.5%
Other	$120.05	$121.65	$108.14	$100.76		1.3%	-9.9%	-16.1%
Totals	$49.82	$50.93	$48.72	$45.63		2.2%	-2.2%	-8.4%

This tells me that customers are using email marketing differently, or that you are offering different merchandise in email marketing campaigns.

Given my findings, I elected to move to a framework I call a "comp segment" framework. I analyze customers who purchased exactly two times in the past year (from the direct channel), and then measure how these customers perform in the next month. This analysis is repeated monthly, for the past four years. Then, I compare year-over-year performance by month.

For your total direct customer file with exactly two purchases in the past year, here is what your comp segment analysis looks like:

Overall 2x Buyer Comp Segment Results								
	2016	2015	2014	2013	16v15	15v14	14v13	16v13
March	$6.94	$6.68	$6.47	$6.96	3.9%	3.2%	-7.0%	-0.3%
February	$8.77	$8.78	$8.85	$9.04	-0.1%	-0.8%	-2.1%	-3.0%
January	$12.41	$11.52	$12.22	$12.70	7.7%	-5.7%	-3.8%	-2.3%
December	$25.16	$26.93	$29.30	$24.35	-6.6%	-8.1%	20.3%	3.3%
November	$21.19	$23.49	$19.75	$21.95	-9.8%	18.9%	-10.0%	-3.5%
October	$14.33	$13.78	$13.62	$12.11	4.0%	1.2%	12.5%	18.3%
September	$9.32	$9.64	$9.00	$7.78	-3.3%	7.1%	15.7%	19.8%
August	$6.98	$7.44	$7.43	$5.75	-6.2%	0.1%	29.2%	21.4%
July	$6.61	$7.35	$7.28	$5.62	-10.1%	1.0%	29.5%	17.6%
June	$6.93	$6.13	$6.34	$6.33	13.1%	-3.3%	0.2%	9.5%
May	$8.00	$8.55	$8.25	$7.02	-6.4%	3.6%	17.5%	14.0%
April	$6.67	$6.94	$7.99	$7.05	-3.9%	-13.1%	13.3%	-5.4%
Totals	$133.31	$137.23	$136.50	$126.66	-2.9%	0.5%	7.8%	5.3%

Annual columns are for years ending March 31.

Overall, merchandise productivity is up about 5% over a three-year period of time, but all of the gains came 2-3 years ago. Since then, performance is generally flat or down a bit, largely because of declines in the November/December timeframe.

Those are the overall results. Here is the same table for merchandise not tied to a discount, markdown, or liquidation.

Full Price 2x Buyer Comp Segment Results								
	2016	2015	2014	2013	16v15	15v14	14v13	16v13
March	$5.16	$4.72	$4.74	$4.62	9.3%	-0.4%	2.6%	11.7%
February	$4.35	$4.03	$4.05	$4.36	7.9%	-0.5%	-7.1%	-0.2%
January	$5.72	$5.14	$5.50	$5.55	11.3%	-6.5%	-0.9%	3.1%
December	$15.64	$13.99	$16.59	$12.47	11.8%	-15.7%	33.0%	25.4%
November	$9.88	$11.25	$10.40	$10.03	-12.2%	8.2%	3.7%	-1.5%
October	$8.37	$6.88	$7.52	$7.05	21.7%	-8.5%	6.7%	18.7%
September	$5.41	$5.95	$5.93	$6.16	-9.1%	0.3%	-3.7%	-12.2%
August	$4.71	$4.23	$5.13	$4.80	11.3%	-17.5%	6.9%	-1.9%
July	$4.00	$3.59	$4.03	$3.99	11.4%	-10.9%	1.0%	0.3%
June	$4.47	$4.20	$5.03	$4.89	6.4%	-16.5%	2.9%	-8.6%
May	$4.57	$4.52	$5.85	$5.47	1.1%	-22.7%	6.9%	-16.5%
April	$4.88	$5.19	$6.16	$5.56	-6.0%	-15.7%	10.8%	-12.2%
Totals	$77.16	$73.69	$80.93	$74.95	4.7%	-8.9%	8.0%	2.9%

We begin to witness a compelling story. Two years ago, full price volume tanked, and finally rebounded starting in May 2015 (the 2016 column).

Let's look at the same table for discounts.

Discount 2x Buyer Comp Segment Results								
	2016	2015	2014	2013	16v15	15v14	14v13	16v13
March	$0.96	$1.26	$1.12	$1.60	-23.8%	12.5%	-30.0%	-40.0%
February	$3.18	$3.81	$3.90	$3.59	-16.5%	-2.3%	8.6%	-11.4%
January	$5.43	$5.26	$5.25	$5.66	3.2%	0.2%	-7.2%	-4.1%
December	$8.15	$11.68	$11.09	$10.49	-30.2%	5.3%	5.7%	-22.3%
November	$10.70	$11.43	$8.56	$11.06	-6.4%	33.5%	-22.6%	-3.3%
October	$5.27	$6.20	$5.44	$4.25	-15.0%	14.0%	28.0%	24.0%
September	$3.32	$3.06	$2.50	$0.89	8.5%	22.4%	180.9%	273.0%
August	$1.35	$2.46	$1.69	$0.39	-45.1%	45.6%	333.3%	246.2%
July	$1.80	$2.89	$2.71	$1.00	-37.7%	6.6%	171.0%	80.0%
June	$0.78	$0.57	$0.25	$0.49	36.8%	128.0%	-49.0%	59.2%
May	$2.93	$3.55	$1.81	$0.92	-17.5%	96.1%	96.7%	218.5%
April	$1.26	$1.30	$1.20	$1.01	-3.1%	8.3%	18.8%	24.8%
Totals	$45.13	$53.47	$45.52	$41.35	-15.6%	17.5%	10.1%	9.1%

We see the opposite story, don't we? Discounting dominated in the year ending March 31, 2015. By the time we get to July 2015 (in the 2016 column), we see that discounting was cut way, way back.

Let's look at how 2x buyers spent money via email marketing. Which table does the email marketing table look more like – the full price table, or the discounting table?

Email 2x Buyer Comp Segment Results								
	2016	2015	2014	2013	16v15	15v14	14v13	16v13
March	$0.98	$0.95	$0.92	$1.04	3.2%	3.3%	-11.5%	-5.8%
February	$1.70	$1.63	$1.78	$1.79	4.3%	-8.4%	-0.6%	-5.0%
January	$2.23	$2.18	$2.10	$2.27	2.3%	3.8%	-7.5%	-1.8%
December	$3.27	$3.64	$3.42	$3.47	-10.2%	6.4%	-1.4%	-5.8%
November	$2.93	$3.12	$2.32	$3.15	-6.1%	34.5%	-26.3%	-7.0%
October	$2.10	$2.16	$1.96	$1.43	-2.8%	10.2%	37.1%	46.9%
September	$1.62	$1.55	$1.38	$0.93	4.5%	12.3%	48.4%	74.2%
August	$0.96	$1.18	$0.80	$0.43	-18.6%	47.5%	86.0%	123.3%
July	$1.02	$1.07	$1.18	$0.81	-4.7%	-9.3%	45.7%	25.9%
June	$0.87	$0.73	$0.70	$0.69	19.2%	4.3%	1.4%	26.1%
May	$1.37	$1.44	$1.28	$0.63	-4.9%	12.5%	103.2%	117.5%
April	$0.86	$0.80	$0.90	$0.58	7.5%	-11.1%	55.2%	48.3%
Totals	$19.91	$20.45	$18.74	$17.22	-2.6%	9.1%	8.8%	15.6%

Yup, looks a lot like the discounting table, doesn't it?

Now, this only matters if the share of demand from discounting is very high within email marketing, right? So let's take a look the issue. First, let's look at gross margin percentages by direct purchase channel (past year):

- Mail / Phone = 57%.

- Online = 56%.
- CSE = 53%.
- Affiliates = 54%.
- Email = 50%.
- Natural Search = 57%.
- Paid Search = 57%.
- WP = 51%.

It's clear that email has the lowest gross margin, so that tells us that discounting is happening at above-average rates, right?

How about percentage of demand by full price, discounts, liquidations, and markdowns?

Ad Channel	Year	Demand	Full Price	Discount	Markdown	Liquidation		FP %	Dsc %	Mkd %	Liq %
Mail / Phone	2016	$310,599,680	$187,096,236	$99,715,058	$16,067,384	$12,349,240		60.2%	32.1%	5.2%	4.0%
Online / Other	2016	$394,866,315	$223,562,376	$140,069,071	$10,004,123	$35,362,978		56.6%	35.5%	2.5%	9.0%
Advertising	2016	$404	$195	$0	$209	$0		48.2%	0.0%	51.8%	0.0%
CSE	2016	$2,983,338	$1,926,274	$609,484	$108,554	$438,784		64.6%	20.4%	3.6%	14.7%
Affiliates	2016	$32,384,253	$15,877,648	$13,615,882	$842,617	$3,750,742		49.0%	42.0%	2.6%	11.6%
Email	2016	$189,144,939	$43,992,898	$131,379,490	$5,617,606	$26,523,699		23.3%	69.5%	3.0%	14.0%
Natural Search	2016	$112,018,970	$72,341,623	$32,052,994	$2,656,761	$7,823,863		64.6%	28.6%	2.4%	7.0%
Paid Search	2016	$231,114,847	$148,426,643	$65,340,614	$5,689,291	$17,361,108		64.2%	28.3%	2.5%	7.5%
WP	2016	$131,541,323	$67,179,420	$45,834,115	$11,996,387	$12,573,754		51.1%	34.8%	9.1%	9.6%

Only 23% of transactions in the year ending March 31, 2016 were full priced transactions in the email marketing channel. And this happened during a year when discounting was reduced!

We can see that email has consistently been the place for discount-centric buyers to get their needs met. Look at four-year demand trends outside of email, and within email.

Year	Demand	Full Price	Discount	Markdown	Liquidation		FP %	Dsc %	Mkd %	Liq %
2016	$1,404,654,069	$760,403,313	$528,616,707	$52,982,933	$116,184,168		54.1%	37.6%	3.8%	8.3%
2015	$1,468,938,074	$731,904,893	$629,305,895	$54,469,245	$116,302,758		49.8%	42.8%	3.7%	7.9%
2014	$1,408,611,278	$759,963,779	$544,141,920	$51,757,950	$105,301,158		54.0%	38.6%	3.7%	7.5%
2013	$1,318,735,131	$731,389,632	$478,413,674	$68,053,739	$90,601,056		55.5%	36.3%	5.2%	6.9%
2012	$1,315,020,806	$872,681,270	$328,631,706	$39,622,596	$106,303,083		66.4%	25.0%	3.0%	8.1%
Year	Demand	Full Price	Discount	Markdown	Liquidation		FP %	Dsc %	Mkd %	Liq %
2016	$189,144,939	$43,992,898	$131,379,490	$5,617,606	$26,523,699		23.3%	69.5%	3.0%	14.0%
2015	$193,265,025	$39,478,971	$143,634,097	$5,714,437	$23,239,329		20.4%	74.3%	3.0%	12.0%
2014	$166,227,636	$44,611,714	$111,301,568	$5,394,146	$18,738,146		26.8%	67.0%	3.2%	11.3%
2013	$154,410,041	$46,585,270	$94,358,168	$8,555,323	$17,368,121		30.2%	61.1%	5.5%	11.2%
2012	$157,287,430	$44,062,694	$99,284,967	$5,647,861	$18,219,083		28.0%	63.1%	3.6%	11.6%

Notice that liquidations are slowly gaining steam within the email channel – at a faster rate than for all other channels.

So far, we've established three facts.

1. You heavily discounted 13-24 years ago, and switched back to more of a full-price focus in the past year.

2. Email gross margins are lowest among direct channels.
3. Email buyers purchase a disproportionate amount of discounted merchandise.

Your email marketing channel is different than the customers who use the channel, FYI. I looked at 2x customers from my comp segment framework, then segmented those customers based on last year email purchase (yes/no) and last year share of demand at full price. Then, I measured gross margins in the next twelve months. Here are the results – re-running the analysis for each of the past three years.

Comp Segment Framework (Years Ending March 31)				
Exactly 2 Purchases In The Past Year				
Email				
Purch.	Last Year	2016	2015	2014
Last Year	Purchase Habits	Margin %	Margin %	Margin %
No	All Discount LY	48.4%	47.4%	49.7%
	1% - 50% Full	51.1%	49.8%	51.6%
	50% - 99% Full	51.1%	50.2%	52.0%
	100% Full LY	52.5%	51.5%	53.4%
Yes	All Discount LY	49.3%	48.5%	50.4%
	1% - 50% Full	52.3%	51.1%	53.2%
	50% - 99% Full	52.5%	51.3%	53.3%
	100% Full LY	54.9%	54.3%	55.8%

Notice that if you purchased via all discounts in the past year, next year's margins are three to five points worse than other customers.

Notice, however, that if you purchased via email marketing, next year's margins are generally similar to non-email buyers.

In other words, email marketing does not appear to train customers to embrace discounts in the future, for if email marketing did that, then email buyers would have lower future margins than non-email buyers. The table does not illustrate that.

This tells us that email marketing is where discount-centric customers congregate to learn about discounts. The channel itself does not cause downstream problems.

I want to show you another key finding. Look at the share of demand from new items, and from existing items (assuming that item numbers are not re-used in the data sent to me).

Year Ending February 28 - Total Direct Channel						
	Items	2012	2013	2014	2015	2016
Earlier	166,896	1,309,990,081	1,022,052,951	722,009,620	528,032,464	420,068,510
2013	46,851	0	292,707,010	302,161,067	143,419,542	81,178,159
2014	64,169	0	0	386,718,334	362,324,628	164,000,813
2015	65,924	0	0	0	431,164,016	360,086,350
2016	60,992	0	0	0	0	382,282,644
Total Demand		1,309,990,081	1,314,759,961	1,410,889,021	1,464,940,650	1,407,616,476
New Item Demand			292,707,010	386,718,334	431,164,016	382,282,644
Existing Item Demand			1,022,052,951	1,024,170,687	1,033,776,634	1,025,333,832
% From New Items			22.3%	27.4%	29.4%	27.2%
Year Ending February 28 - Email Purchases Only						
	Items	2012	2013	2014	2015	2016
Earlier	134,544	151,721,639	115,372,360	82,866,105	65,870,021	51,270,073
2013	43,404	0	38,424,032	36,427,379	19,907,017	11,299,118
2014	56,757	0	0	47,413,773	46,276,671	21,066,442
2015	62,391	0	0	0	60,218,773	48,608,948
2016	58,863	0	0	0	0	57,578,922
Total Demand		151,721,639	153,796,392	166,707,257	192,272,482	189,823,503
New Item Demand			38,424,032	47,413,773	60,218,773	57,578,922
Existing Item Demand			115,372,360	119,293,484	132,053,709	132,244,581
% From New Items			25.0%	28.4%	31.3%	30.3%

Notice that demand from new items dropped by nearly fifty million dollars, overall, in the year ending 2/28/2016.

In the email marketing channel, demand from new items dropped by $2.7 million dollars in the year ending 2/28/2016. Keep that figure in the back of your mind.

Now look at total email demand on a rolling twelve-month basis.

Month	Email Customers	Email Orders	Email Demand	Email Items	Other Direct Dmd.	Other Direct Itm.	Other Retail Dmd	Other Retail Itm	Other Outlet Dmd	Other Outlet Itm
201603	1,217,196	2,062,258	189,212,843	3,906,065	265,496,474	5,050,353	56,339,628	1,202,231	9,837,861	323,413
201602	1,214,620	2,067,631	189,823,504	3,924,789	266,859,711	5,089,510	56,104,535	1,202,885	9,872,512	324,384
201601	1,231,868	2,074,581	190,718,628	3,941,307	265,125,894	5,073,366	55,207,962	1,193,610	9,913,905	324,609
201512	1,244,455	2,086,234	190,945,913	3,970,236	259,236,762	5,003,289	54,110,187	1,188,078	9,949,198	327,549
201511	1,258,418	2,135,823	195,760,787	4,082,318	273,245,352	5,295,650	54,745,999	1,218,146	10,214,416	338,850
201510	1,254,233	2,144,277	196,436,939	4,128,113	282,533,959	5,482,727	55,176,013	1,234,086	10,122,440	338,843
201509	1,264,687	2,151,370	196,322,182	4,148,539	279,408,346	5,465,599	54,073,840	1,223,623	9,878,262	335,763
201508	1,255,135	2,132,167	194,135,545	4,117,360	279,320,443	5,479,823	53,803,133	1,220,453	9,634,580	329,327
201507	1,259,016	2,150,612	196,530,084	4,170,273	281,393,450	5,522,966	54,167,058	1,231,289	9,624,772	330,595
201506	1,262,670	2,154,234	196,637,534	4,184,374	282,399,282	5,560,042	54,085,185	1,236,323	9,683,115	334,207
201505	1,260,604	2,134,875	194,601,364	4,130,313	279,620,476	5,498,723	53,457,382	1,229,778	9,445,319	329,233
201504	1,265,988	2,130,618	194,318,914	4,119,621	278,166,700	5,475,829	52,959,073	1,218,349	9,316,986	327,092
201503	1,262,579	2,114,192	193,222,594	4,093,191	277,882,911	5,470,339	52,762,714	1,216,520	9,219,822	324,375
201502	1,257,686	2,102,747	192,272,482	4,072,767	276,930,001	5,458,024	52,245,598	1,210,173	9,120,693	322,730
201501	1,257,649	2,100,360	191,171,151	4,061,127	272,532,893	5,400,042	51,712,853	1,205,744	9,089,014	325,070
201412	1,252,276	2,077,890	190,084,473	4,039,850	267,017,323	5,315,453	50,582,544	1,188,212	8,957,184	323,054
201411	1,218,162	2,029,728	185,007,488	3,957,350	276,565,891	5,533,906	49,242,515	1,169,465	8,697,120	317,271
201410	1,184,274	1,964,168	176,627,558	3,819,488	271,160,162	5,476,082	46,719,142	1,127,577	8,315,669	306,768
201409	1,177,487	1,939,631	174,060,316	3,786,632	267,170,786	5,432,453	45,854,902	1,116,618	8,176,277	304,778
201408	1,165,861	1,931,476	172,832,385	3,777,890	267,806,416	5,467,770	45,815,070	1,122,859	8,168,115	306,748
201407	1,156,573	1,909,821	169,340,482	3,718,849	266,903,641	5,462,670	45,549,342	1,121,139	8,099,924	307,353
201406	1,162,100	1,911,451	169,566,310	3,725,048	266,972,911	5,470,414	45,295,862	1,115,070	7,992,190	304,941
201405	1,161,306	1,898,136	168,833,585	3,685,595	266,497,935	5,451,830	45,240,694	1,110,858	7,977,317	305,209
201404	1,159,443	1,874,984	166,002,805	3,631,164	262,036,101	5,368,834	44,687,797	1,107,233	8,048,169	310,668
201403	1,161,221	1,876,873	166,210,630	3,642,883	262,956,076	5,397,611	44,727,649	1,110,647	8,135,313	316,828
201402	1,160,359	1,880,175	166,707,256	3,650,375	264,038,558	5,423,622	44,870,370	1,117,939	8,155,223	320,132

Email demand, on a rolling twelve-month basis, is down about seven million dollars on a rolling twelve-month basis. Comparing February 2016 to February 2015, email demand is down $3.5 million dollars.

Remember – in email marketing, demand from new items is down $2.7 million during that timeframe. Total email marketing demand is down $3.5 million during that timeframe. Without a doubt, a reduction in new items and/or a reduction in productivity from new items is causing a portion of the drop in email marketing demand.

Notice in the table that other direct channel demand among email buyers is down. This tells us that this is not an email issue, but is due to issues within the direct channel. Retail demand from email buyers is generally increasing.

So far, we've established five facts.

1. You heavily discounted 13-24 years ago, and switched back to more of a full-price focus in the past year.
2. Email gross margins are lowest among direct channels.
3. Email buyers purchase a disproportionate amount of discounted merchandise.
4. Email marketing does not cause customers to be discount-centric in the future. It appears that discount-centric customers are attracted to email marketing.
5. A portion of the recent shortfall in email marketing demand has to be attributed to a reduction in performance of new items.

Other Email Findings

There are a lot of moving parts, folks. I wanted to separate out the issues that are causing demand shortfalls from issues that are interesting but less actionable.

First, I analyzed customers within my 2x comp segment framework, selecting those sent at least one campaign in the next year, and then measured annual performance accordingly. Take a look at the three-year trend in sends, opens, and clicks.

2x Buyers Last Year - Sent 1+ Email Promotional Campaign Next Year

Year	Segment	Cases	Rebuy	Spend	Future	Full	Discount	Sent	Opens	Clicks	Opn/Snt	Clk/Opn	Clk/Snt
2016	All Discount LY	259,429	60.6%	$237.50	$144.03	$64.22	$79.80	159.4	41.0	5.5	25.74%	13.52%	3.48%
	1% - 50% Full	187,509	68.5%	$283.71	$194.40	$108.70	$85.70	152.9	34.4	4.2	22.52%	12.24%	2.76%
	50% - 99% Full	256,267	67.5%	$280.90	$189.64	$112.45	$77.19	146.8	32.1	3.8	21.84%	11.83%	2.58%
	100% Full LY	231,197	68.5%	$283.39	$194.16	$129.72	$64.44	137.9	26.5	2.8	19.20%	10.71%	2.06%
2015	All Discount LY	241,158	60.0%	$237.47	$142.54	$56.63	$85.91	141.9	36.3	5.0	25.60%	13.85%	3.54%
	1% - 50% Full	190,418	67.6%	$282.85	$191.14	$96.40	$94.74	140.4	32.0	4.0	22.81%	12.55%	2.86%
	50% - 99% Full	257,538	66.5%	$281.71	$187.26	$100.43	$86.83	135.8	30.3	3.7	22.28%	12.20%	2.72%
	100% Full LY	277,948	67.0%	$284.53	$190.76	$117.42	$73.35	127.9	25.5	2.8	19.92%	10.85%	2.16%
2014	All Discount LY	223,821	57.9%	$230.85	$133.69	$61.88	$71.81	112.8	30.9	4.6	27.43%	15.00%	4.11%
	1% - 50% Full	190,210	66.7%	$274.32	$182.93	$101.21	$81.73	112.6	27.8	3.8	24.66%	13.57%	3.35%
	50% - 99% Full	253,231	66.0%	$275.52	$181.90	$105.50	$76.40	108.6	26.7	3.5	24.53%	13.09%	3.21%
	100% Full LY	280,174	66.0%	$273.02	$180.16	$117.54	$62.63	102.0	22.8	2.7	22.31%	11.80%	2.63%
16 vs 15	All Discount LY	7.6%	1.0%	0.0%	1.0%	13.4%	-7.1%	12.3%	13.0%	10.3%	0.6%	-2.3%	-1.8%
	1% - 50% Full	-1.5%	1.4%	0.3%	1.7%	12.8%	-9.5%	8.9%	7.5%	4.8%	-1.3%	-2.5%	-3.7%
	50% - 99% Full	-0.5%	1.6%	-0.3%	1.3%	12.0%	-11.1%	8.1%	6.0%	2.8%	-2.0%	-3.0%	-4.9%
	100% Full LY	-16.8%	2.2%	-0.4%	1.8%	10.5%	-12.1%	7.8%	3.8%	2.5%	-3.7%	-1.3%	-4.9%
15 vs 14	All Discount LY	7.7%	3.6%	2.9%	6.6%	-8.5%	19.6%	25.7%	17.4%	8.4%	-6.7%	-7.7%	-13.8%
	1% - 50% Full	0.1%	1.3%	3.1%	4.5%	-4.7%	15.9%	24.7%	15.3%	6.7%	-7.5%	-7.5%	-14.4%
	50% - 99% Full	1.7%	0.7%	2.2%	2.9%	-4.8%	13.7%	25.0%	13.5%	5.8%	-9.2%	-6.8%	-15.3%
	100% Full LY	-0.8%	1.6%	4.2%	5.9%	-0.1%	17.1%	25.4%	12.0%	3.0%	-10.7%	-8.1%	-17.9%
16 vs 14	All Discount LY	15.9%	4.7%	2.9%	7.7%	3.8%	11.1%	41.2%	32.6%	19.6%	-6.1%	-9.8%	-15.4%
	1% - 50% Full	-1.4%	2.7%	3.4%	6.3%	7.4%	4.9%	35.7%	23.9%	11.8%	-8.7%	-9.8%	-17.6%
	50% - 99% Full	1.2%	2.3%	2.0%	4.3%	6.6%	1.0%	35.1%	20.3%	8.7%	-11.0%	-9.6%	-19.5%
	100% Full LY	-17.5%	3.8%	3.8%	7.8%	10.4%	2.9%	35.2%	16.3%	5.6%	-13.9%	-9.2%	-21.9%
2016	Totals	934,402	66.1%	$271.06	$179.05	$102.58	$76.47						
2015	Totals	967,062	65.2%	$272.63	$177.88	$93.60	$84.28						
2014	Totals	947,436	64.2%	$265.00	$170.20	$97.89	$72.31						

Rebuy / Spend / Future metrics are for the total company.

Look down the sent / opens / clicks columns.

In 2016 (year ending March 31, 2016), sends are up about nine percent vs. prior year. In 2015, sends were up about 25% vs. prior year. On average, you are sending 35% to 40% more campaigns per household than you sent two years ago. In addition, you send marginally more campaigns to discount-centric buyers than to full-price purchasers.

Look at total opens. Total opens per household increased, across the board. In the past two years, opens increased 33% among discount-centric buyers, and opens increased

16% among full-price buyers. So customers are opening more campaigns than in past years.

Look down the clicks column. In the past two years, clicks are up 20% among discount-centric buyers, and are up 6% among full-price buyers.

If opens are up 35% - 40% and clicks are up 6% to 20% … well, you know what that means.

- Over two years, open rates are down 6% among discount-centric buyers and are down 14% among full price buyers.
- Over two years, clicks to opens are down 10% across the board.

Your email marketing program acted similar to any other marketing program that experiences a diminishing rate of return. You sent out considerably more email campaigns, causing customers to open more often, to click more often, and until recently buy more often. However, individual campaign metrics are going to look worse, because the rate of clicks/conversions is not keeping up with the rate of send increases.

It is my opinion that you should not care about individual campaign opens/clicks/conversions, especially when sending out 3x campaigns per week. Have your email marketing team focus on reporting customer spend on a quarterly or annual basis, and work hard to increase quarterly and/or annual spend. This is what ultimately matters, given the fact that email does not have a meaningful fixed/variable cost component. If this happened in catalog marketing, the variable cost of the catalog would override the incremental gains of additional mailings, causing you to send fewer catalogs.

The point in sharing this table?

- Do not worry that opens/clicks as a % of sends are down.
- Total opens and total clicks have increased each of the past two years. This is a more important metric than looking at rates.

Another series of tables tells us that email is part of a direct channel ecosystem. Customers who interact with email marketing are doing a lot of other things. Let’s start with a comparison of customers, in the year ending March 31, 2016 to the year ending March 31, 2015, segmented by those who purchased via email campaigns, those who didn’t purchase but clicked, those who didn’t click but opened, those who didn’t open but were sent 1+ campaign, and all other buyers. Customer had to have purchased 1+ time in the past year from the direct channel.

Year Ending March 31	LY Segment	LY Cases	NY Channel = Direct	NY Channel = Retail	NY Channel = Outlet
2016	No Email	1,769,878	$96.14	$11.44	$1.78
	1+ Sent	875,923	$101.37	$17.85	$2.84
	1+ Opened	896,468	$120.80	$26.07	$3.84
	1+ Clicked	1,664,810	$165.79	$41.68	$7.09
	1+ Purchase	1,262,579	$257.43	$39.50	$7.45
2015	No Email	1,561,312	$110.20	$11.19	$1.74
	1+ Sent	917,212	$104.17	$16.27	$2.59
	1+ Opened	871,833	$122.76	$24.58	$3.59
	1+ Clicked	1,759,125	$168.21	$39.13	$6.58
	1+ Purchase	1,161,221	$272.11	$37.29	$7.23
16 v 15	No Email	13.4%	-12.8%	2.2%	2.6%
	1+ Sent	-4.5%	-2.7%	9.7%	9.6%
	1+ Opened	2.8%	-1.6%	6.1%	7.1%
	1+ Clicked	-5.4%	-1.4%	6.5%	7.7%
	1+ Purchase	8.7%	-5.4%	5.9%	3.2%

We can see that non-email subscribers actually performed worse than email subscribers performed, when viewing the total direct channel (segmentation is as of 2015/03/31 and 2014/03/31 … next year performance is for a year ending 2016/03/31 or 2015/03/31). Non-email customers were -13% vs. last year in direct spend … email subs were down 1% to down 3% … email buyers were down 5%.

Let's look at where share of future spend is allocated, across direct channels.

Year Ending March 31	LY Segment	LY Cases	NY Channel = Phone	NY Channel = Online	NY Channel = CSE	NY Channel = Affiliates	NY Channel = Email	NY Channel = Natural Search	NY Channel = Paid Search	NY Channel = WP
2016	No Email	1,769,878	52.5%	19.0%	0.1%	1.3%	2.8%	5.3%	10.5%	8.6%
	1+ Sent	875,923	28.0%	29.8%	0.1%	1.6%	4.2%	8.6%	18.5%	9.1%
	1+ Opened	896,468	23.0%	32.9%	0.1%	2.2%	7.1%	8.6%	16.8%	9.4%
	1+ Clicked	1,664,810	23.1%	26.9%	0.1%	2.2%	12.9%	6.5%	13.5%	14.7%
	1+ Purchase	1,262,579	7.4%	31.4%	0.1%	2.1%	30.9%	6.5%	14.3%	7.3%
2015	No Email	1,561,312	57.4%	17.1%	0.2%	1.0%	2.4%	4.5%	8.7%	8.6%
	1+ Sent	917,212	29.2%	30.0%	0.3%	1.5%	4.3%	8.3%	17.3%	9.2%
	1+ Opened	871,833	23.8%	32.9%	0.3%	1.9%	7.9%	8.1%	15.8%	9.3%
	1+ Clicked	1,759,125	23.8%	26.8%	0.2%	2.0%	13.5%	6.4%	13.0%	14.2%
	1+ Purchase	1,161,221	7.9%	32.1%	0.2%	2.0%	30.2%	6.4%	13.7%	7.6%
16 v 15	No Email	13.4%	-8.6%	10.7%	-38.6%	23.4%	14.7%	17.3%	20.9%	-0.4%
	1+ Sent	-4.5%	-4.0%	-0.9%	-54.0%	10.6%	-1.9%	3.9%	7.3%	-0.6%
	1+ Opened	2.8%	-3.5%	-0.1%	-54.8%	18.3%	-10.3%	5.7%	6.3%	0.3%
	1+ Clicked	-5.4%	-2.8%	0.3%	-48.1%	11.4%	-4.7%	1.5%	3.8%	3.5%
	1+ Purchase	8.7%	-5.3%	-2.3%	-46.4%	6.9%	2.4%	1.2%	4.3%	-3.7%

We can see that the non-email subscribers are largely old-school catalog buyers, with 53% and 57% of subsequent year spend happening via mail/phone.

Notice that email buyers will spend 30.9% and 30.2% of subsequent year demand within email marketing. This clearly tells us that your most active email buyers are likely to interact with the rest of your business. These people know more about your business than just about anybody else, given that they are being communicated to 150ish times per year … three times a week … and yet they are spending 20% of next year's volume via paid/natural search. Let that fact sink in for a moment. Those who know most about your business are still spending one out of every five dollars via search. This tells you that you are dealing with a highly competitive marketplace. Your customers are constantly seeking out the best price/merchandise combination. And across the board, the search percentages are increasing – especially among non-email engaged customers. Your customers are searching *more* often. That topic alone is worth consideration for an Executive Team meeting.

The following three tables illustrate share of subsequent year spend by merchandise group.

Year Ending March 31	LY Segment	LY Cases	NY Boys	NY Camping	NY Fishing	NY Sporting	NY Gift Cards	NY Girls	NY Home Acc-essories
2016	No Email	1,769,878	0.6%	0.9%	0.7%	0.8%	1.2%	0.6%	3.5%
	1+ Sent	875,923	0.9%	1.2%	0.8%	0.9%	1.0%	0.9%	3.8%
	1+ Opened	896,468	1.0%	1.3%	0.8%	1.1%	1.0%	1.0%	4.0%
	1+ Clicked	1,664,810	0.9%	1.4%	0.9%	1.2%	1.0%	0.9%	3.7%
	1+ Purchase	1,262,579	0.9%	1.3%	1.0%	1.2%	0.7%	1.0%	3.4%
2015	No Email	1,561,312	0.6%	0.9%	0.6%	0.8%	1.1%	0.7%	3.4%
	1+ Sent	917,212	0.9%	1.2%	0.7%	1.0%	1.0%	1.0%	3.8%
	1+ Opened	871,833	1.0%	1.3%	0.8%	1.2%	1.0%	1.1%	4.0%
	1+ Clicked	1,759,125	0.9%	1.4%	0.9%	1.3%	1.0%	1.0%	3.7%
	1+ Purchase	1,161,221	1.0%	1.3%	1.0%	1.3%	0.7%	1.1%	3.5%
16 v 15	No Email	13.4%	-1.8%	1.8%	11.9%	-7.3%	4.9%	-7.6%	3.4%
	1+ Sent	-4.5%	-5.4%	0.3%	12.3%	-9.6%	-0.8%	-13.5%	-0.5%
	1+ Opened	2.8%	-5.3%	1.2%	10.3%	-7.3%	0.0%	-10.0%	-0.7%
	1+ Clicked	-5.4%	-4.5%	-3.1%	-3.4%	-4.7%	1.0%	-10.0%	-0.4%
	1+ Purchase	8.7%	-6.9%	-0.2%	-2.6%	-6.0%	1.7%	-12.9%	-1.9%

Year Ending March 31	LY Segment	LY Cases	NY Home Textiles	NY Hunting	NY Kids	NY Mens Acc-essories	NY Mens Apparel	NY Mens Foot-wear	NY Mens Outer-wear
2016	No Email	1,769,878	5.8%	0.9%	1.0%	1.4%	22.1%	6.5%	3.5%
	1+ Sent	875,923	5.4%	1.2%	1.6%	1.4%	21.9%	6.9%	3.9%
	1+ Opened	896,468	5.6%	1.2%	1.7%	1.5%	21.6%	6.9%	4.0%
	1+ Clicked	1,664,810	5.4%	1.2%	1.5%	1.4%	20.9%	6.5%	4.0%
	1+ Purchase	1,262,579	5.3%	1.2%	1.4%	1.5%	20.8%	5.5%	3.7%
2015	No Email	1,561,312	6.2%	1.0%	1.1%	1.5%	22.5%	6.2%	3.4%
	1+ Sent	917,212	5.7%	1.3%	1.7%	1.6%	21.9%	6.7%	3.8%
	1+ Opened	871,833	5.9%	1.4%	1.9%	1.6%	21.8%	6.8%	3.9%
	1+ Clicked	1,759,125	5.7%	1.4%	1.7%	1.6%	20.9%	6.5%	4.0%
	1+ Purchase	1,161,221	5.6%	1.3%	1.6%	1.6%	20.4%	5.4%	3.6%
16 v 15	No Email	13.4%	-7.8%	-12.3%	-1.8%	-8.5%	-1.4%	4.4%	3.7%
	1+ Sent	-4.5%	-5.0%	-12.5%	-9.5%	-11.0%	-0.1%	3.2%	1.5%
	1+ Opened	2.8%	-4.3%	-10.1%	-9.8%	-7.4%	-1.3%	1.0%	3.5%
	1+ Clicked	-5.4%	-5.5%	-12.4%	-10.6%	-8.6%	-0.1%	1.2%	1.1%
	1+ Purchase	8.7%	-5.1%	-12.8%	-11.6%	-5.4%	1.8%	1.9%	1.9%

Year Ending March 31	LY Segment	LY Cases	NY School Bags	NY Travel Bags	NY Winter Sports	NY Womens Acc-essories	NY Womens Apparel	NY Womens Foot-wear	NY Womens Outer-wear
2016	No Email	1,769,878	1.3%	2.6%	0.7%	0.7%	29.3%	6.7%	6.7%
	1+ Sent	875,923	1.6%	3.0%	1.0%	0.7%	24.2%	7.3%	6.8%
	1+ Opened	896,468	1.7%	3.4%	1.1%	0.8%	22.4%	7.2%	6.6%
	1+ Clicked	1,664,810	1.4%	3.0%	1.1%	0.8%	24.2%	7.0%	7.0%
	1+ Purchase	1,262,579	1.0%	2.8%	1.0%	0.9%	27.7%	6.3%	6.7%
2015	No Email	1,561,312	1.0%	2.5%	0.7%	0.9%	29.9%	6.0%	6.5%
	1+ Sent	917,212	1.5%	3.2%	1.2%	0.9%	24.1%	6.5%	6.6%
	1+ Opened	871,833	1.6%	3.5%	1.3%	0.9%	22.1%	6.6%	6.5%
	1+ Clicked	1,759,125	1.3%	3.2%	1.3%	0.9%	23.8%	6.4%	6.8%
	1+ Purchase	1,161,221	1.0%	2.9%	1.2%	1.0%	27.5%	5.8%	6.5%
16 v 15	No Email	13.4%	31.4%	1.1%	-0.6%	-20.4%	-1.9%	12.8%	2.1%
	1+ Sent	-4.5%	3.9%	-5.1%	-13.0%	-14.9%	0.5%	12.2%	3.3%
	1+ Opened	2.8%	5.1%	-3.0%	-12.8%	-11.1%	1.4%	10.3%	1.7%
	1+ Clicked	-5.4%	10.0%	-4.7%	-14.6%	-10.4%	1.4%	9.4%	3.3%
	1+ Purchase	8.7%	5.4%	-4.3%	-15.8%	-8.7%	0.5%	7.1%	2.7%

What do the tables tell us?

The tables tell us that there isn't much difference in merchandise preference. Those who do not subscribe via email marketing spend more in Womens Apparel – those who purchase via email marketing spend more in Womens Apparel … but the percentage share isn't anything to write home about.

From a merchandising standpoint, the email buyer / subscriber is representative of other direct channel customers. It is common to find differences in merchandise preference for email engaged buyers, across my client base. This tells me that you are likely treating all merchandise in a fair manner. Some of my clients feature subsets of the merchandise assortment in email marketing, and consequently yield a customer that is a bit different than the average customer. In your case, the customer is discount/promo centric, that's the difference that impacts your brand.

I did notice one trend that bears paying attention to. The number of customers who interact with your email program has declined in the past year. Let's look at a series of tables.

Month Ending	Annual Promo Clickers	1x Promo Click per Year	2x Promo Clicks per Year	3x-4x Promo Clck/Yr	5x+ Promo Clck/Yr	Average Total Clck/Yr	Average Promo Clck/Yr	Average Service Clck/Yr	Average Other Clck/Yr
201603	4,231,561	1,236,870	667,486	744,774	1,582,431	9.02	6.81	1.68	0.53
201602	4,241,365	1,260,204	671,872	747,229	1,562,060	8.85	6.66	1.67	0.51
201601	4,285,228	1,286,027	681,873	754,839	1,562,489	8.70	6.54	1.65	0.51
201512	4,276,269	1,283,078	679,943	752,584	1,560,664	8.64	6.52	1.63	0.49
201511	4,250,071	1,251,091	671,790	752,053	1,575,137	8.74	6.56	1.69	0.49
201510	4,254,138	1,246,542	673,413	755,408	1,578,775	8.75	6.54	1.73	0.48
201509	4,270,361	1,257,613	678,624	760,057	1,574,067	8.68	6.49	1.73	0.47
201508	4,307,244	1,269,651	684,241	768,182	1,585,170	8.65	6.46	1.73	0.46
201507	4,342,093	1,288,755	692,893	774,998	1,585,447	8.59	6.40	1.74	0.45
201506	4,360,453	1,309,240	698,028	775,400	1,577,785	8.52	6.33	1.75	0.44
201505	4,391,914	1,327,109	705,362	781,885	1,577,558	8.43	6.26	1.72	0.44
201504	4,419,775	1,346,582	711,015	788,434	1,573,744	8.33	6.19	1.71	0.43
201503	4,453,051	1,359,616	717,100	793,136	1,583,199	8.32	6.19	1.71	0.42
201502	4,487,081	1,376,726	723,528	798,001	1,588,826	8.27	6.15	1.69	0.42
201501	4,556,655	1,394,796	737,856	814,431	1,609,572	8.19	6.11	1.66	0.42
201412	4,553,775	1,366,748	732,155	813,365	1,641,507	8.30	6.21	1.65	0.43
201411	4,465,830	1,323,291	716,591	800,308	1,625,640	8.45	6.24	1.77	0.44
201410	4,426,153	1,313,828	715,121	798,877	1,598,327	8.32	6.17	1.71	0.45
201409	4,410,841	1,310,291	715,334	798,163	1,587,053	8.22	6.11	1.65	0.46
201408	4,402,653	1,317,063	715,791	796,111	1,573,688	8.15	6.07	1.61	0.47
201407	4,372,766	1,318,674	712,700	792,435	1,548,957	8.08	5.99	1.60	0.49
201406	4,395,057	1,330,475	716,640	795,456	1,552,486	8.01	5.96	1.54	0.50
201405	4,418,328	1,345,099	724,140	803,455	1,545,634	7.89	5.86	1.51	0.51
201404	4,434,372	1,359,726	729,058	806,235	1,539,353	7.79	5.79	1.46	0.54
201403	4,445,266	1,370,333	732,842	809,784	1,532,307	7.72	5.73	1.44	0.55

This is a rolling twelve-month view of customers who clicked through at least one promotional campaign in the past year. After peaking in late 2014, the annual number of clickers has actually dropped by 5% - 10%. The drops are across the board, with the exception of those clicking through 5+ promotional campaigns per year. The infrequent clickers are the ones who are on the decline.

Here is a table of open data.

Month Ending	Annual Opens 1+	Annual Opens / HH	Promo Opens / HH	Service Opens / HH	HHs Open 1x	HHs Open 2x - 10x	HHs Open 11x - 50x	HHs Open 51x - 125x	HHs Open 126x+	No Opens
201603	7,869,532	43.15	30.28	10.85	580,682	2,772,850	2,731,715	1,040,371	743,914	1,691,925
201602	7,920,592	42.29	29.62	10.70	598,459	2,815,843	2,741,266	1,035,419	729,605	1,669,417
201601	8,105,630	40.79	28.47	10.43	652,574	2,943,754	2,766,644	1,026,946	715,712	1,847,861
201512	8,204,525	39.86	27.84	10.22	664,165	3,042,265	2,778,055	1,012,989	707,051	1,790,034
201511	8,015,005	39.85	27.77	10.34	632,207	2,939,314	2,742,919	1,011,394	689,171	1,707,294
201510	7,914,917	39.86	27.67	10.50	597,043	2,883,081	2,740,549	1,016,337	677,907	1,661,502
201509	7,940,307	39.47	27.49	10.39	598,095	2,909,309	2,742,943	1,019,382	670,578	1,690,941
201508	7,955,212	39.62	27.71	10.36	594,162	2,898,511	2,755,075	1,035,169	672,295	1,656,130
201507	7,988,865	39.42	27.58	10.34	601,603	2,908,166	2,765,467	1,046,690	666,939	1,712,929
201506	8,022,644	39.15	27.32	10.35	603,021	2,917,436	2,785,144	1,059,025	658,018	1,699,458
201505	8,081,493	38.78	27.11	10.20	602,760	2,946,835	2,811,521	1,070,303	650,074	1,669,689
201504	8,152,779	38.61	27.06	10.14	601,581	2,962,061	2,858,539	1,082,894	647,704	1,699,899
201503	8,195,024	38.52	27.04	10.10	606,043	2,973,126	2,880,289	1,088,589	646,977	1,684,392
201502	8,233,414	38.17	26.84	9.98	618,444	2,992,804	2,893,654	1,088,535	639,977	1,960,950
201501	8,365,694	37.74	26.67	9.77	654,418	3,058,518	2,919,649	1,090,389	642,720	2,141,462
201412	8,446,880	37.52	26.49	9.71	655,898	3,127,084	2,923,411	1,093,104	647,383	2,113,012
201411	8,135,016	38.90	27.44	10.14	595,972	2,930,464	2,848,412	1,108,755	651,413	2,034,143
201410	7,882,350	39.44	27.92	10.13	560,184	2,792,565	2,784,732	1,108,693	636,176	1,979,925
201409	7,850,872	39.10	27.57	10.09	558,458	2,785,949	2,775,770	1,113,856	616,839	2,025,708
201408	7,813,261	38.71	27.18	10.04	565,774	2,777,027	2,756,550	1,119,502	594,408	2,140,573
201407	7,773,034	38.22	26.59	10.04	573,256	2,764,968	2,742,459	1,123,272	569,079	2,167,290
201406	7,725,510	38.09	26.58	9.90	569,483	2,739,797	2,734,444	1,124,480	557,306	2,173,108
201405	7,761,336	37.30	25.85	9.82	584,115	2,777,667	2,742,588	1,121,443	535,523	2,173,974
201404	7,814,344	36.55	25.13	9.66	615,625	2,829,156	2,738,442	1,108,170	522,951	2,197,471
201403	7,840,625	36.02	24.62	9.59	633,595	2,851,551	2,746,808	1,095,992	512,679	2,222,126

Households with 1+ open peaked in December 2014, and have been in decline ever since. There are considerable increases among high-opening households, as expected (because sends increased significantly). But infrequent openers are in decline.

Let's look at sends on a rolling twelve-month basis.

Month Ending	Annual HHs Sent 1+	Annual Sent / HH	Promo Sent / HH	Service Sent / HH	HHs Receive 1 to 10	HHs Receive 11 to 25	HHs Receive 26 to 100	HHs Receive 101 to 200	HHs Receive 201 +
201603	9,561,457	116.58	108.25	5.28	2,114,226	934,927	1,633,422	3,622,675	1,256,207
201602	9,590,009	115.52	107.26	5.26	2,091,653	940,962	1,675,000	3,677,521	1,204,873
201601	9,953,491	109.86	101.88	5.11	2,438,524	999,973	1,648,122	3,744,224	1,122,648
201512	9,994,559	109.14	101.26	5.11	2,540,615	1,030,774	1,529,415	3,797,729	1,096,026
201511	9,722,299	108.25	100.18	5.37	2,300,849	1,077,950	1,422,689	3,970,019	950,792
201510	9,576,419	108.87	100.68	5.54	2,150,026	961,092	1,499,064	4,053,253	912,984
201509	9,631,248	107.98	99.94	5.52	2,196,438	945,052	1,488,242	4,096,075	905,441
201508	9,611,342	109.23	101.25	5.54	2,116,581	966,303	1,481,950	4,125,120	921,388
201507	9,701,794	108.22	100.38	5.48	2,176,204	926,736	1,545,388	4,139,630	913,836
201506	9,722,102	106.76	98.96	5.49	2,138,637	944,260	1,713,971	4,042,937	882,297
201505	9,751,182	105.92	98.19	5.45	2,086,435	942,422	1,860,110	3,990,153	872,062
201504	9,852,678	105.15	97.57	5.39	2,129,166	909,362	1,872,280	4,064,660	877,210
201503	9,879,416	104.77	97.24	5.38	2,101,410	922,149	1,879,130	4,095,660	881,067
201502	10,194,364	100.76	93.55	5.18	2,380,630	934,806	1,913,465	4,109,046	856,417
201501	10,507,156	97.05	90.15	5.01	2,685,367	981,380	1,858,913	4,146,395	835,101
201412	10,559,892	96.42	89.51	5.03	2,759,471	1,124,725	1,656,844	4,195,003	823,849
201411	10,169,159	98.54	91.41	5.25	2,507,230	1,035,845	1,574,109	4,251,285	800,690
201410	9,862,275	100.04	92.71	5.32	2,133,807	1,013,608	1,632,126	4,300,569	782,165
201409	9,876,580	97.86	90.41	5.35	2,103,309	986,169	1,707,433	4,320,690	758,979
201408	9,953,834	95.45	87.93	5.34	2,128,003	974,319	1,818,768	4,291,434	741,310
201407	9,940,324	92.85	84.96	5.40	2,110,419	945,656	2,076,194	4,102,611	705,444
201406	9,898,618	92.04	84.10	5.38	2,003,853	938,310	2,264,737	4,006,280	685,438
201405	9,935,310	89.58	81.57	5.39	1,947,820	971,754	2,382,456	3,982,179	651,101
201404	10,011,815	87.59	79.21	5.39	1,954,429	968,120	2,511,764	3,958,776	618,726
201403	10,062,751	86.33	77.85	5.40	1,967,431	943,538	2,603,499	3,947,846	600,437

Again, the number of customers sent one-plus campaign peaked in December 2014, and has been in decline ever since. This, to me, is odd. It suggests that there were many unsubscribes, or there was a purge of some households on the email list. The table does show the significant increase in sends of 201+ per year, which is likely causing some of your metrics to look little bit wonky.

The odd thing about all of this is that visits declined at the same time. Look at this table.

Month	Annual HHs With 1+ Visit	Total Annual Visits	Total Annual Page Views	Visit 1x Last Year	Visit 2x Last Year	Visit 3x - 5x Last Year	Visit 6x - 10x Last Year	Visit 11x - 15x Last Year	Visit 16x - 25x Last Year	Visit 26x - 50x Last Year	Visit 51x - 75x Last Year	Visit 76x+ Last Year
201603	6,684,088	148,377,362	1,657,970,044	1,326,880	932,515	1,617,755	1,189,274	560,138	513,242	370,098	92,479	81,707
201602	6,744,671	149,594,645	1,647,222,593	1,352,343	943,797	1,633,794	1,196,134	562,006	513,534	369,468	91,723	81,872
201601	6,883,185	151,435,827	1,636,252,694	1,384,057	965,693	1,672,507	1,220,242	571,637	521,022	373,788	92,154	82,085
201512	7,028,806	152,908,642	1,606,441,548	1,429,606	991,290	1,708,790	1,238,273	579,202	526,912	378,378	93,446	82,909
201511	7,131,213	158,168,080	1,624,298,461	1,403,124	988,944	1,733,208	1,276,510	601,077	549,920	394,970	97,592	85,868
201510	7,080,698	160,728,193	1,629,596,758	1,325,884	960,460	1,722,949	1,296,739	615,361	565,299	406,376	99,878	87,752
201509	7,063,126	159,512,696	1,629,045,566	1,313,901	955,800	1,719,681	1,299,800	616,518	565,583	405,455	99,271	87,117
201508	7,073,824	159,343,800	1,643,767,776	1,308,156	953,851	1,720,125	1,305,440	621,343	569,713	408,378	99,715	87,103
201507	7,097,610	158,791,704	1,636,562,530	1,313,212	960,375	1,725,114	1,310,663	622,424	571,170	408,163	99,404	87,085
201506	7,118,735	158,347,609	1,637,023,651	1,309,031	966,487	1,733,943	1,318,056	625,667	572,842	407,139	99,012	86,558
201505	7,143,743	157,433,188	1,638,164,301	1,315,495	972,240	1,741,884	1,323,981	627,809	572,422	406,519	97,735	85,658
201504	7,176,447	156,296,465	1,646,840,426	1,328,557	979,319	1,750,410	1,329,727	629,275	572,966	404,598	96,776	84,819
201503	7,214,240	155,517,799	1,656,082,081	1,340,382	984,809	1,758,617	1,335,968	632,192	575,541	405,508	96,894	84,329
201502	7,251,520	154,578,081	1,678,217,619	1,356,481	993,327	1,766,439	1,340,922	633,519	575,847	404,899	96,508	83,578
201501	7,355,801	153,654,282	1,711,836,159	1,385,854	1,018,259	1,797,760	1,354,679	638,089	577,784	404,619	95,861	82,896
201412	7,487,467	153,436,880	1,746,918,938	1,424,322	1,045,121	1,829,897	1,367,914	645,325	583,750	410,314	97,292	83,532
201411	7,437,957	150,525,386	1,780,476,102	1,394,007	1,032,750	1,804,353	1,365,130	650,109	591,747	417,124	98,702	84,035
201410	7,176,887	145,408,072	1,771,477,756	1,300,654	982,219	1,741,317	1,337,667	642,363	583,287	410,534	96,754	82,092
201409	7,132,660	144,040,940	1,765,180,641	1,279,814	974,475	1,731,712	1,335,246	641,602	582,236	409,364	96,498	81,713
201408	7,095,220	142,640,582	1,731,406,574	1,267,295	968,323	1,721,192	1,330,428	639,977	582,006	408,400	96,147	81,452
201407	7,083,235	140,862,734	1,725,105,074	1,267,606	965,637	1,718,097	1,331,893	639,409	579,969	405,205	94,927	80,492
201406	7,053,998	139,215,266	1,723,573,671	1,265,209	952,100	1,703,900	1,331,874	640,057	580,671	405,620	94,389	80,178
201405	7,095,877	137,930,502	1,696,318,493	1,281,143	957,987	1,715,713	1,340,208	644,058	581,521	403,049	93,125	79,073
201404	7,139,818	137,089,071	1,668,948,705	1,298,378	966,109	1,727,762	1,348,337	645,556	582,050	401,849	91,912	77,865
201403	7,181,388	136,555,250	1,654,214,858	1,313,050	975,021	1,738,451	1,355,041	647,550	583,086	400,646	91,359	77,184

The number of households with 1+ annual visit peaked in December 2014, and has been on the decline ever since – but those with 51+ visits per year peaked in Fall 2015.

It does not make any sense to me that all of the following metrics dropped at the same time (end of December 2014).

- Number of households sent 1+ campaign per year.
- Number of households opening 1+ campaign per year.
- Number of households clicking on 1+ campaign per year.
- Number of households visiting your website 1+ time per year.

To me, this suggests some sort of database issue. Visits are independent of emails sent, and yet both metrics dropped at the same time. Fewer households are being sent campaigns, and fewer households are visiting the website … both after December 2014. This is something that I would ask your database marketing team to research, unless there is a perfectly good reason for this happening that I am not aware of.

Let's review information regarding customer "clicks". I segmented direct channel customers based on purchases last year, and email clicks last year. Then, I measured subsequent year customer behavior. Here's the table, and it is a big one (top of table is year ending 3/31/2016, middle is year ending 3/31/2015).

LY Dir Freq	Email Segment	LY Cases	LY Dir. Demand	NY Dir. Demand	NY Ret. Demand	NY Out. Demand	Emails Sent	Emails Opened	Emails Clicked	Catalogs Mailed	Open vs. Sent	Click vs. Open	Click vs. Sent
1	5+ Clicks	550,288	$108.68	$94.38	$25.28	$4.96	155.1	54.6	8.1	11.5	35.2%	14.9%	5.2%
1	2-4 Clicks	685,430	$104.36	$68.71	$18.13	$3.26	105.5	23.6	2.3	10.1	22.4%	9.6%	2.1%
1	1 Click	558,772	$100.24	$61.14	$15.23	$2.61	78.5	15.1	1.3	9.7	19.2%	8.4%	1.6%
1	1+ Open	931,430	$97.67	$59.33	$13.92	$2.24	65.5	11.9	0.8	9.7	18.2%	7.0%	1.3%
1	1+ Sent	391,986	$94.44	$58.95	$11.67	$1.95	39.2	3.0	0.5	10.2	7.7%	17.8%	1.4%
1	No Email	414,714	$95.03	$61.28	$9.12	$1.31	4.1	2.1	0.3	14.2	52.1%	12.7%	6.6%
2	5+ Clicks	416,341	$205.22	$142.44	$32.94	$6.12	164.3	62.9	9.4	14.8	38.3%	14.9%	5.7%
2	2-4 Clicks	319,537	$206.24	$119.26	$26.75	$4.63	113.0	27.6	2.6	14.2	24.5%	9.4%	2.3%
2	1 Click	186,137	$206.37	$117.19	$24.45	$4.02	87.3	18.7	1.6	14.5	21.5%	8.5%	1.8%
2	1+ Open	227,292	$209.01	$123.24	$23.78	$3.57	74.8	15.5	1.1	15.2	20.7%	7.3%	1.5%
2	1+ Sent	68,425	$207.50	$125.77	$19.20	$3.30	50.7	4.1	0.8	16.3	8.0%	18.5%	1.5%
2	No Email	127,816	$194.64	$119.42	$10.89	$1.52	4.2	2.2	0.3	18.9	52.8%	13.4%	7.1%
3	5+ Clicks	272,084	$307.36	$205.15	$43.32	$7.69	175.7	74.9	11.3	17.8	42.6%	15.1%	6.4%
3	2-4 Clicks	139,232	$319.64	$187.20	$39.09	$6.39	120.4	32.6	3.0	17.9	27.1%	9.2%	2.5%
3	1 Click	67,077	$324.03	$192.16	$34.54	$5.66	95.4	23.4	1.9	18.4	24.6%	8.2%	2.0%
3	1+ Open	75,001	$329.80	$200.84	$33.78	$5.14	81.6	19.1	1.4	19.1	23.4%	7.2%	1.7%
3	1+ Sent	21,087	$323.81	$202.40	$24.04	$3.30	56.8	5.0	0.9	20.3	8.9%	17.6%	1.6%
3	No Email	54,492	$295.71	$184.18	$14.13	$1.78	4.2	2.4	0.3	21.5	57.5%	13.6%	7.8%
4+	5+ Clicks	592,476	$705.45	$490.20	$76.99	$13.40	206.3	120.6	19.6	22.6	58.5%	16.2%	9.5%
4+	2-4 Clicks	150,948	$612.75	$398.37	$62.08	$9.07	129.4	43.6	3.7	22.3	33.7%	8.5%	2.9%
4+	1 Click	62,957	$604.04	$393.49	$55.62	$7.76	104.8	31.3	2.4	22.6	29.9%	7.6%	2.3%
4+	1+ Open	66,125	$600.92	$397.28	$50.84	$7.17	91.4	25.7	1.7	23.1	28.1%	6.6%	1.8%
4+	1+ Sent	18,282	$599.40	$380.61	$35.98	$4.86	66.9	6.3	1.1	23.9	9.5%	16.6%	1.6%
4+	No Email	71,729	$587.86	$383.14	$21.74	$2.81	4.5	3.0	0.4	24.4	66.5%	13.5%	9.0%

LY Dir Freq	Email Segment	LY Cases	LY Dir. Demand	NY Dir. Demand	NY Ret. Demand	NY Out. Demand	Emails Sent	Emails Opened	Emails Clicked	Catalogs Mailed	Open vs. Sent	Click vs. Open	Click vs. Sent
1	5+ Clicks	510,729	$103.69	$100.75	$26.16	$5.07	145.8	51.4	8.2	12.1	35.2%	15.9%	5.6%
1	2-4 Clicks	655,875	$101.93	$73.60	$18.12	$3.28	104.5	23.9	2.4	10.6	22.9%	10.0%	2.3%
1	1 Click	531,029	$99.20	$65.05	$14.96	$2.57	80.4	15.7	1.4	10.1	19.5%	8.6%	1.7%
1	1+ Open	819,801	$98.50	$64.70	$13.87	$2.17	74.7	13.6	1.0	10.2	18.3%	7.1%	1.3%
1	1+ Sent	416,396	$94.85	$62.55	$11.36	$1.93	37.7	3.1	0.5	10.1	8.3%	17.2%	1.4%
1	No Email	457,453	$97.25	$62.17	$8.30	$1.22	3.9	1.8	0.3	11.3	46.9%	14.6%	6.8%
2	5+ Clicks	396,254	$198.47	$149.88	$32.61	$6.11	155.7	59.5	9.3	15.8	38.2%	15.6%	6.0%
2	2-4 Clicks	309,970	$203.19	$127.78	$25.66	$4.46	113.8	28.2	2.8	15.2	24.8%	9.9%	2.4%
2	1 Click	177,304	$205.31	$125.72	$23.73	$3.93	91.5	19.6	1.7	15.4	21.4%	8.7%	1.9%
2	1+ Open	210,057	$209.51	$131.86	$23.18	$3.43	80.4	16.6	1.2	16.1	20.7%	7.2%	1.5%
2	1+ Sent	77,121	$208.02	$131.29	$18.92	$2.92	47.0	4.3	0.7	16.4	9.1%	17.1%	1.6%
2	No Email	144,372	$195.38	$121.13	$10.37	$1.41	4.0	2.1	0.3	16.6	50.9%	14.3%	7.3%
3	5+ Clicks	260,035	$300.48	$214.16	$41.64	$7.74	167.2	70.4	11.1	19.4	42.1%	15.8%	6.7%
3	2-4 Clicks	137,071	$314.64	$198.37	$35.82	$5.93	120.8	32.6	3.2	19.4	27.0%	9.8%	2.6%
3	1 Click	66,153	$321.16	$204.55	$32.25	$5.40	97.3	23.6	2.0	19.8	24.2%	8.6%	2.1%
3	1+ Open	72,845	$325.42	$214.46	$30.57	$4.59	84.3	19.7	1.4	20.4	23.3%	7.3%	1.7%
3	1+ Sent	24,551	$321.53	$209.61	$23.63	$3.77	52.5	5.3	0.9	20.6	10.1%	16.1%	1.6%
3	No Email	61,673	$293.14	$186.83	$12.14	$1.86	4.0	2.3	0.3	20.1	55.7%	13.8%	7.7%
4+	5+ Clicks	559,007	$686.59	$504.44	$72.55	$12.46	195.6	111.9	19.1	25.2	57.2%	17.1%	9.8%
4+	2-4 Clicks	152,857	$607.42	$417.22	$59.35	$8.88	128.7	42.8	3.9	24.6	33.3%	9.0%	3.0%
4+	1 Click	63,994	$602.47	$414.24	$51.17	$7.59	103.5	31.2	2.5	24.7	30.2%	7.9%	2.4%
4+	1+ Open	66,454	$600.59	$420.69	$48.60	$6.66	91.1	25.7	1.7	24.9	28.2%	6.7%	1.9%
4+	1+ Sent	21,426	$588.13	$395.15	$36.32	$5.12	59.6	6.4	1.0	24.7	10.8%	16.3%	1.8%
4+	No Email	78,276	$582.33	$392.52	$20.85	$2.67	4.5	3.0	0.4	24.0	68.2%	14.7%	10.0%

LY Dir Freq	Email Segment	LY Cases	LY Dir. Demand	NY Dir. Demand	NY Ret. Demand	NY Out. Demand	Emails Sent	Emails Opened	Emails Clicked	Catalogs Mailed	Open vs. Sent	Click vs. Open	Click vs. Sent
1	5+ Clicks	7.7%	4.8%	-6.3%	-3.4%	-2.2%	6.4%	6.2%	-0.7%	-5.2%	-0.1%	-6.5%	-6.6%
1	2-4 Clicks	4.5%	2.4%	-6.6%	0.1%	-0.5%	1.0%	-1.2%	-5.8%	-4.4%	-2.1%	-4.7%	-6.7%
1	1 Click	5.2%	1.0%	-6.0%	1.8%	1.3%	-2.3%	-4.2%	-6.6%	-3.4%	-1.9%	-2.5%	-4.4%
1	1+ Open	13.6%	-0.8%	-8.3%	0.4%	3.4%	-12.3%	-12.3%	-12.8%	-4.7%	-0.1%	-0.6%	-0.6%
1	1+ Sent	-5.9%	-0.4%	-5.8%	2.7%	1.4%	3.8%	-4.2%	-0.7%	1.4%	-7.7%	3.7%	-4.3%
1	No Email	-9.3%	-2.3%	-1.4%	9.9%	7.8%	5.1%	17.0%	2.1%	25.0%	11.3%	-12.7%	-2.8%
2	5+ Clicks	5.1%	3.4%	-5.0%	1.0%	0.1%	5.5%	5.7%	0.9%	-6.6%	0.1%	-4.5%	-4.4%
2	2-4 Clicks	3.1%	1.5%	-6.7%	4.3%	3.9%	-0.6%	-1.9%	-6.3%	-6.5%	-1.2%	-4.6%	-5.7%
2	1 Click	5.0%	0.5%	-6.8%	3.0%	2.0%	-4.6%	-4.4%	-6.8%	-6.1%	0.2%	-2.5%	-2.3%
2	1+ Open	8.2%	-0.2%	-6.5%	2.6%	4.1%	-7.0%	-6.7%	-6.3%	-5.7%	0.3%	0.4%	0.7%
2	1+ Sent	-11.3%	-0.3%	-4.2%	1.5%	12.8%	7.7%	-4.6%	3.5%	-0.4%	-11.4%	8.5%	-3.9%
2	No Email	-11.5%	-0.4%	-1.4%	5.1%	7.8%	3.7%	7.5%	1.1%	13.3%	3.7%	-6.0%	-2.5%
3	5+ Clicks	4.6%	2.3%	-4.2%	4.0%	-0.6%	5.1%	6.5%	1.7%	-8.1%	1.3%	-4.5%	-3.3%
3	2-4 Clicks	1.6%	1.6%	-5.6%	9.1%	7.7%	-0.3%	0.2%	-6.3%	-7.8%	0.5%	-6.5%	-6.0%
3	1 Click	1.4%	0.9%	-6.1%	7.1%	4.8%	-2.0%	-0.5%	-5.3%	-7.4%	1.5%	-4.8%	-3.4%
3	1+ Open	3.0%	1.3%	-6.4%	10.5%	12.0%	-3.2%	-3.2%	-4.3%	-6.6%	0.0%	-1.1%	-1.1%
3	1+ Sent	-14.1%	0.7%	-3.4%	1.8%	-12.6%	8.3%	-4.8%	4.3%	-1.6%	-12.0%	9.5%	-3.7%
3	No Email	-11.6%	0.9%	-1.4%	16.5%	-4.3%	4.8%	8.1%	6.6%	7.1%	3.2%	-1.4%	1.7%
4+	5+ Clicks	6.0%	2.7%	-2.8%	6.1%	7.6%	5.5%	7.8%	2.4%	-10.3%	2.2%	-5.0%	-2.9%
4+	2-4 Clicks	-1.2%	0.9%	-4.5%	4.6%	2.1%	0.6%	1.8%	-4.6%	-9.4%	1.2%	-6.2%	-5.1%
4+	1 Click	-1.6%	0.3%	-5.0%	8.7%	2.3%	1.2%	0.2%	-4.1%	-8.5%	-1.0%	-4.2%	-5.2%
4+	1+ Open	-0.5%	0.1%	-5.6%	4.6%	7.7%	0.3%	0.0%	-2.6%	-7.3%	-0.3%	-2.6%	-2.8%
4+	1+ Sent	-14.7%	1.9%	-3.7%	-0.9%	-5.1%	12.2%	-1.5%	0.4%	-3.5%	-12.2%	1.9%	-10.5%
4+	No Email	-8.4%	0.9%	-2.4%	4.3%	5.4%	1.7%	-0.9%	-8.9%	1.6%	-2.5%	-8.1%	-10.4%

Look at customers with 4+ purchases and 5+ clicks in the past year. Open rates are nearly 60%! The data clearly indicates that if a customer clicks through at least five campaigns per year then there is overwhelmingly positive downstream behavior.

I created this table to illustrate the importance of segmenting email subscribers based on their prior activity. You want to have a segment of those who are sent campaigns but take no actions … a segment of those who open but don't click … a segment of those who click "x" times per year … and a segment of those who purchase via email marketing. You will find that future opens/clicks/conversions are very different across each audience.

Most important, the segmentation strategy gives you a chance to experiment with different email strategies. Customers who are sent campaigns but do not open/click/convert can be used to test uncertain strategies. I worked with an email service provider that you undoubtedly know – they tested their inactive audience, testing different subject lines and product content – and found that they could "wake" the inactive audience with an appropriate message – and could "wake" that audience with minimal risk and no cost.

The tables caused me to think. It is obvious that if a customer purchases via email marketing, that's a good thing. But what is the future impact of email activities? Are email purchases equal to other purchases? Do incremental clicks, above-and-beyond email purchases, help grow future value?

I built a model to determine the impact email has on next year's direct channel demand … not just email demand, but all direct channels. Obviously, from an RFM (Recency, Frequency, Monetary) standpoint, an email purchase is a big deal. But if I control for email purchases, what impact do sends/opens/clicks have on future direct channel demand?

The model has several variables – customers in the model are 0-12 month direct channel buyers, measuring spend in the direct channel in the next year. Your statistical gurus can do better than I did – I am only attempting to measure impact and am not trying to create a model for scoring purposes.

The variables?

- Email Demand 0-12 Months Ago.
- Email Demand 13-24 Months Ago.
- Email Demand 25-36 Months Ago.
- Email Demand 37-48 Months Ago.
- All Other Direct Demand 0-12 Months Ago.
- All Other Direct Demand 13-24 Months Ago.
- All Other Direct Demand 25-36 Months Ago.
- All Other Direct Demand 37-48 Months Ago.
- 1/0 Indicator For Customers With 10+ Clicks Last Year.

- 1/0 Indicator For Customers With 5-9 Clicks Last Year.
- 1/0 Indicator For Customers With 2-4 Clicks Last Year.
- 1/0 Indicator For Customers With 1 Click Last Year.
- 1/0 Indicator For Customers With 0 Clicks, 1+ Open Last Year.
- 1/0 Indicator For Customers With 0 Clicks, 0 Opens, Sent 1+ Campaign Last Year.

Here are the model coefficients.

Coefficients[a]

Model		Unstandardized Coefficients B	Unstandardized Coefficients Std. Error	Standardized Coefficients Beta	t	Sig.
1	(Constant)	5.143	.172		29.986	.000
	oth12	.313	.000	.286	783.967	.000
	oth24	.210	.000	.189	474.771	.000
	oth36	.151	.000	.128	318.103	.000
	oth48	.130	.000	.106	275.227	.000
	ema12	.318	.001	.111	307.188	.000
	ema24	.178	.001	.052	144.354	.000
	ema36	.118	.001	.032	88.903	.000
	ema48	.097	.001	.026	75.768	.000
	10+ Clicks	47.902	.356	.049	134.651	.000
	5-9 Clicks	18.672	.338	.018	55.202	.000
	2-4 Clicks	6.094	.285	.007	21.370	.000
	1 Click	-1.097	.311	-.001	-3.526	.000
	1+ Open	-3.842	.281	-.005	-13.695	.000
	1+ Send	-7.590	.284	-.009	-26.756	.000

a. Dependent Variable: depend

Future demand is not generally impacted by whether the customer purchased via other direct channels (oth12, oth24, oth36, oth48) or via email (ema12, ema24, ema36, ema48). There is marginal dropoff in the email coefficients for 25-36 month and 37-48 month spend buckets, but not a big deal there.

The Clicks / Open / Send variables are of particular interest.

- After controlling for email and all other direct channel spend …
    - 10+ Annual Clicks yields an additional $47.90 in the next year.
    - 5-9 Annual Clicks yields an additional $18.67 in the next year.
    - 2-4 Annual Clicks yields an additional $6.09 in the next year.
    - 1 Annual Click causes the household to spend $1.10 less next year.
    - No Clicks / 1+ Open causes the household to spend $3.84 less next year.
    - No Clicks / Opens / 1+ Send causes the household to spend $7.59 less next year.

In almost every project I work on, the goal is to get the customer to click on at least 2 promotional campaigns per year … if that is accomplished, email provides incremental future value above-and-beyond email purchases.

The following table shows the annual impact of email clicks, above-and-beyond purchase value.

Email Metric	Cases	Value	NY Dmd
No Email	1,805,075	$0.00	$0
1+ Send	901,730	($7.59)	($6,844,131)
1+ Open	935,062	($3.84)	($3,592,508)
1 Click	694,610	($1.10)	($761,987)
2-4 Clicks	914,172	$6.09	$5,570,964
5-9 Clicks	588,766	$18.67	$10,993,439
10+ Clicks	630,243	$47.90	$30,189,900
Total NY Value --->			$35,555,677

Two things that are terribly important here.

1. Your inactive email subscribers and those who only click once a year are actually costing you about $11,000,000 of future demand value (and likely $4,000,000 or more annual profit) … they don't interact with email and that diminishes their future value, after controlling for historical spend.
2. Getting a customer across the hurdle to 2+ clicks causes future customer demand to increase by more than $46,000,000 (and likely $15,000,000+ more annual profit).

You are probably generating $100,000,000 or more pre-tax profit (only you know if that is true or not), +/- … 10% of my raw guesstimate comes from future value generated by email clicks that is not measured via email purchases.

That's a big deal.

A very big deal.

And the total is underestimated because my analysis is only looking at 0-12 month buyers (thereby excluding 13-48 month buyers) and excludes retail + outlet only buyers and excludes retail + outlet future value. Still, I'd rather be conservative – because the story is still so very positive.

I strongly recommend creating a comparable segmentation strategy for your email marketing file … segment along the dimensions identified in the model. Your goal must be to move customers beyond one annual promotional click, beyond the area where your email marketing program is actually hurting future value.

Does this make sense?

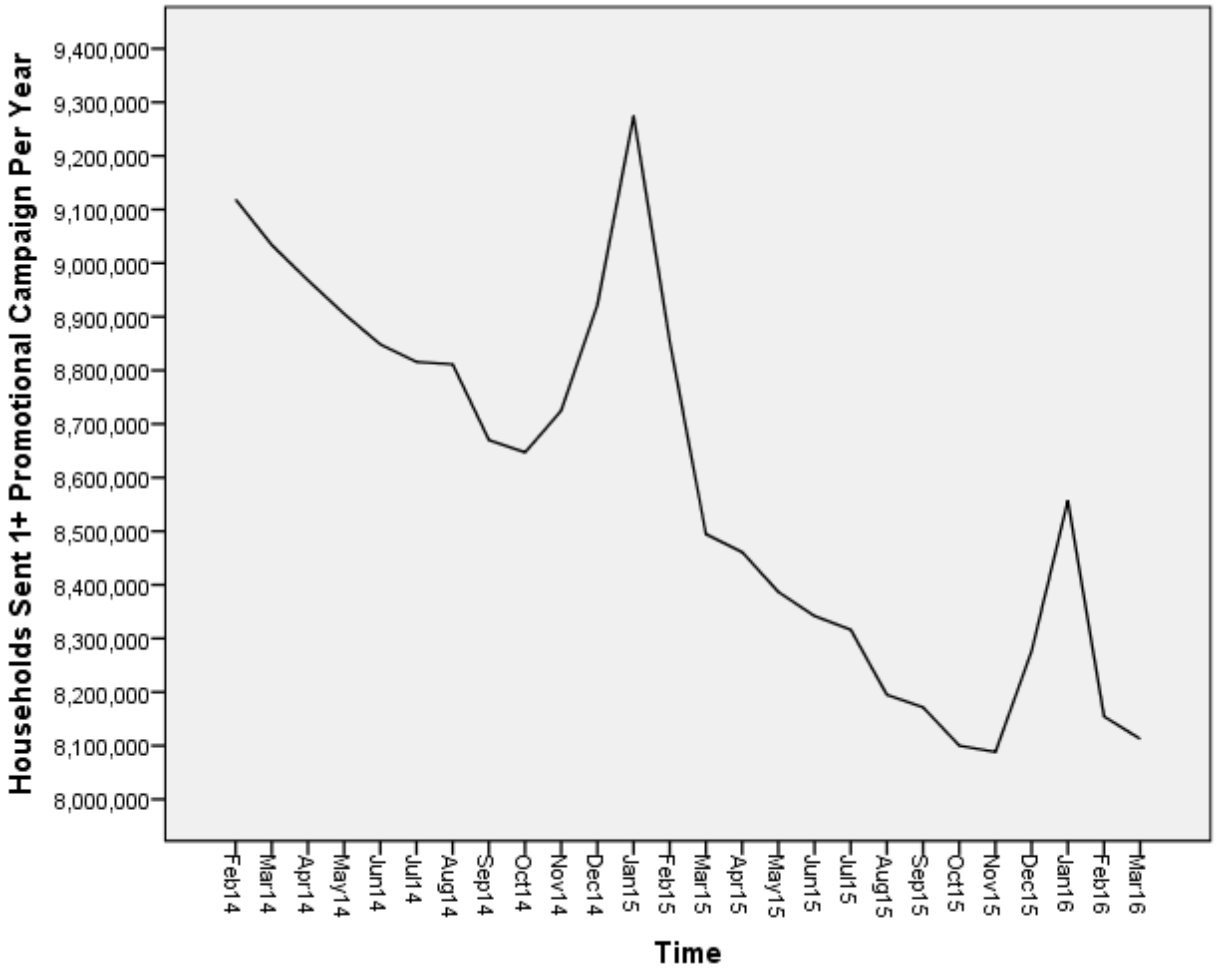
I'm asking you to make a subtle shift … from measuring opens/clicks/conversions to measuring how good of a job you do at getting households to click at least two times per year and purchase at least once per year.

So far, we've established seven facts.

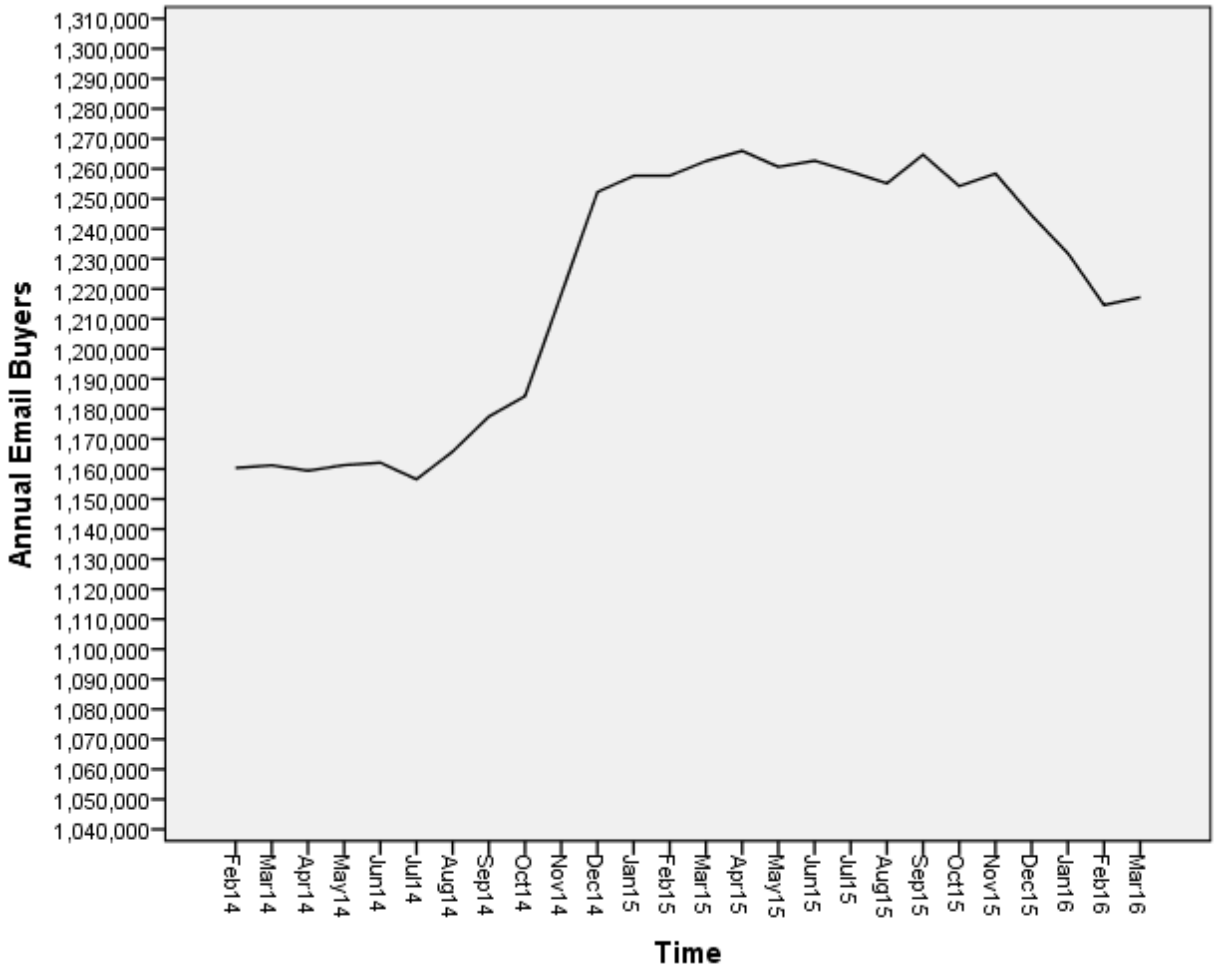
1. You heavily discounted 13-24 years ago, and switched back to more of a full-price focus in the past year.
2. Email gross margins are lowest among direct channels.
3. Email buyers purchase a disproportionate amount of discounted merchandise.
4. Email marketing does not cause customers to be discount-centric in the future. It appears that discount-centric customers are attracted to email marketing.
5. A portion of the recent shortfall in email marketing demand has to be attributed to a reduction in performance of new items.
6. Something happened around January 1, 2015 … causing the number of households to be sent email campaigns and to visit the website to decline. This, to me, seems to be an operational issue (I could be wrong) and not a symptom of good/bad marketing.
7. You are unable to see $35,000,000 of incremental future demand (and likely $10,000,000 of future incremental profit) generated by those who simply click on multiple email campaigns per year. This value is above-and-beyond the $189,000,000 of annual demand generated by email marketing, and is likely under-stated by several million dollars).

Let's reinforce some of the information shared earlier in the presentation. I want to present a sampling of email marketing metrics measured on a rolling twelve month basis.

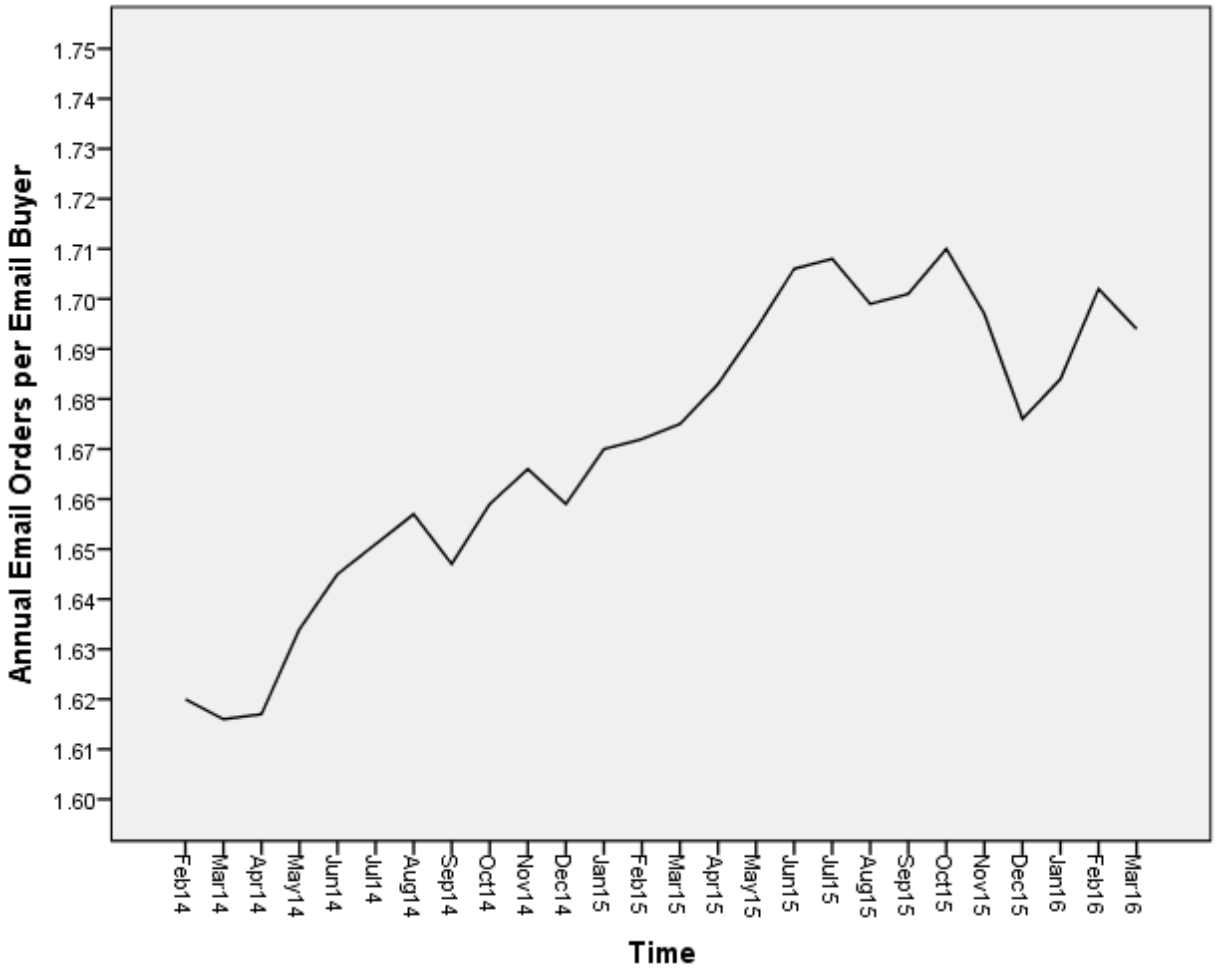
First, here households sent 1+ campaign per year. I've already mentioned how the total is in decline … the graph verifies this fact.



Here are the number of twelve-month email buyers – the metric has a different trajectory than the size of your list.

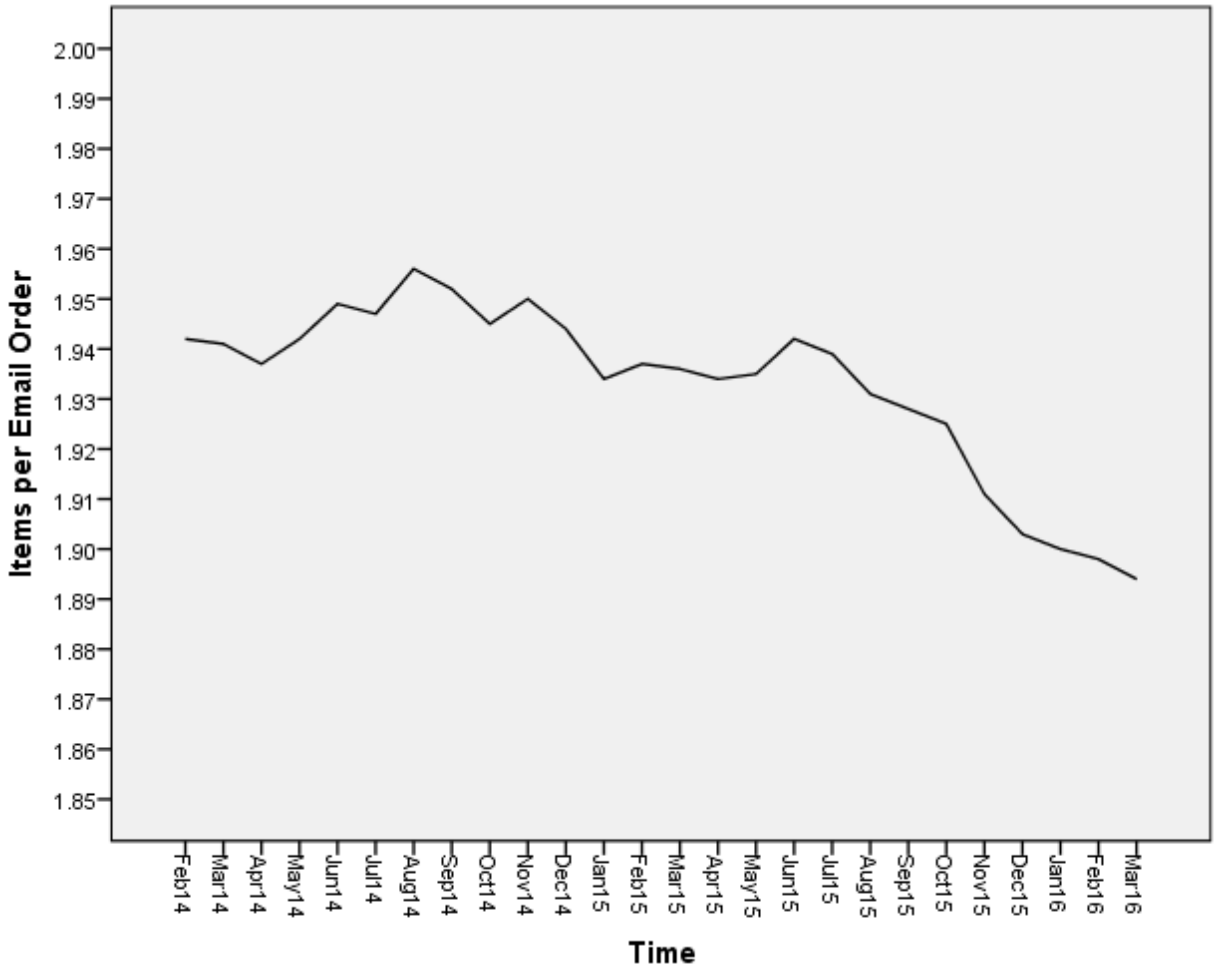


If a household purchases via email marketing, then the household is generally purchasing more often over time … so that's a good thing, right?

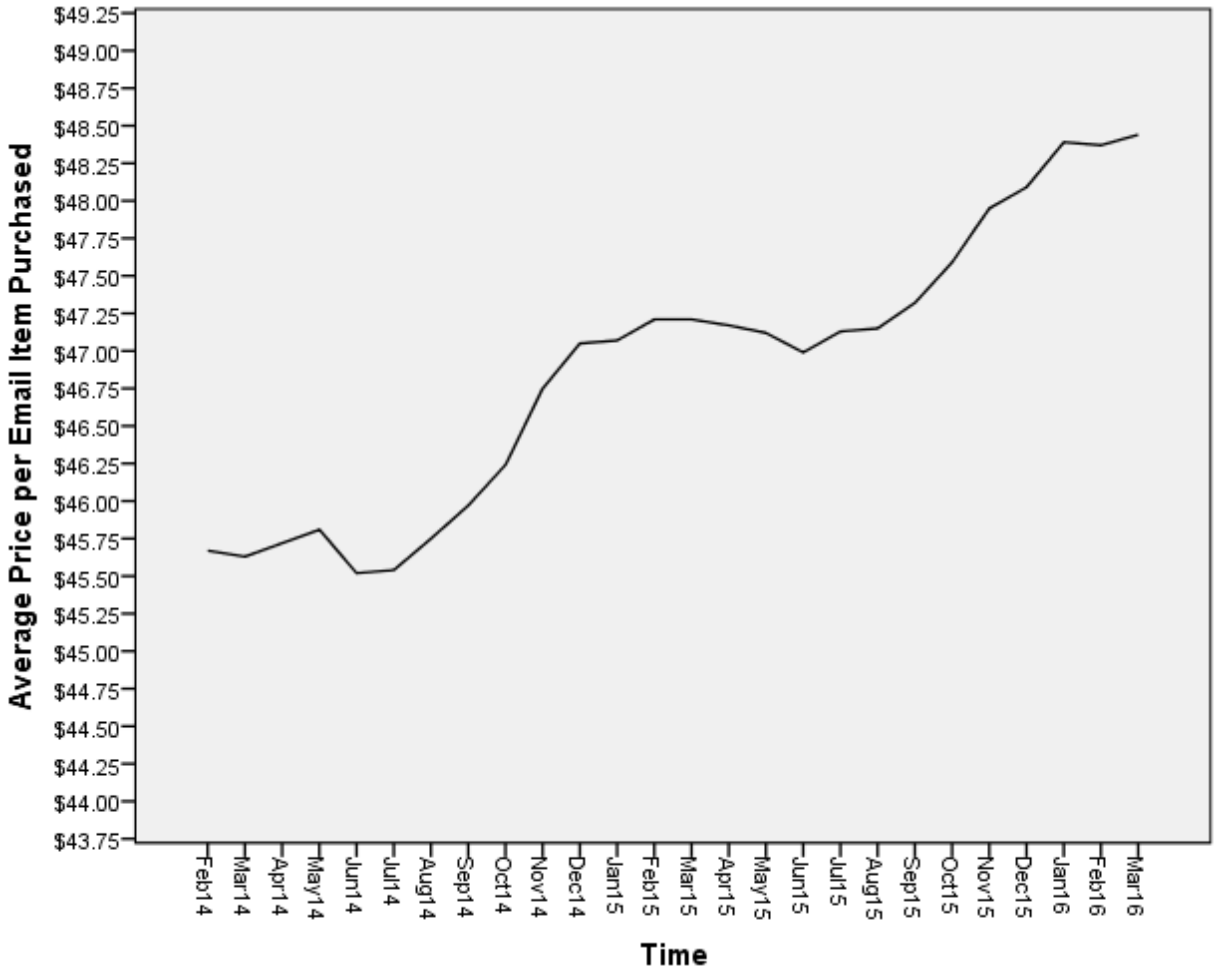


Still, the magnitude of the "y-axis" is not large … so email buyers are banded by between 1.62 purchases per year and about 1.71 purchases per year.

The next image illustrates how many items the customer is purchasing via email marketing on an average order.



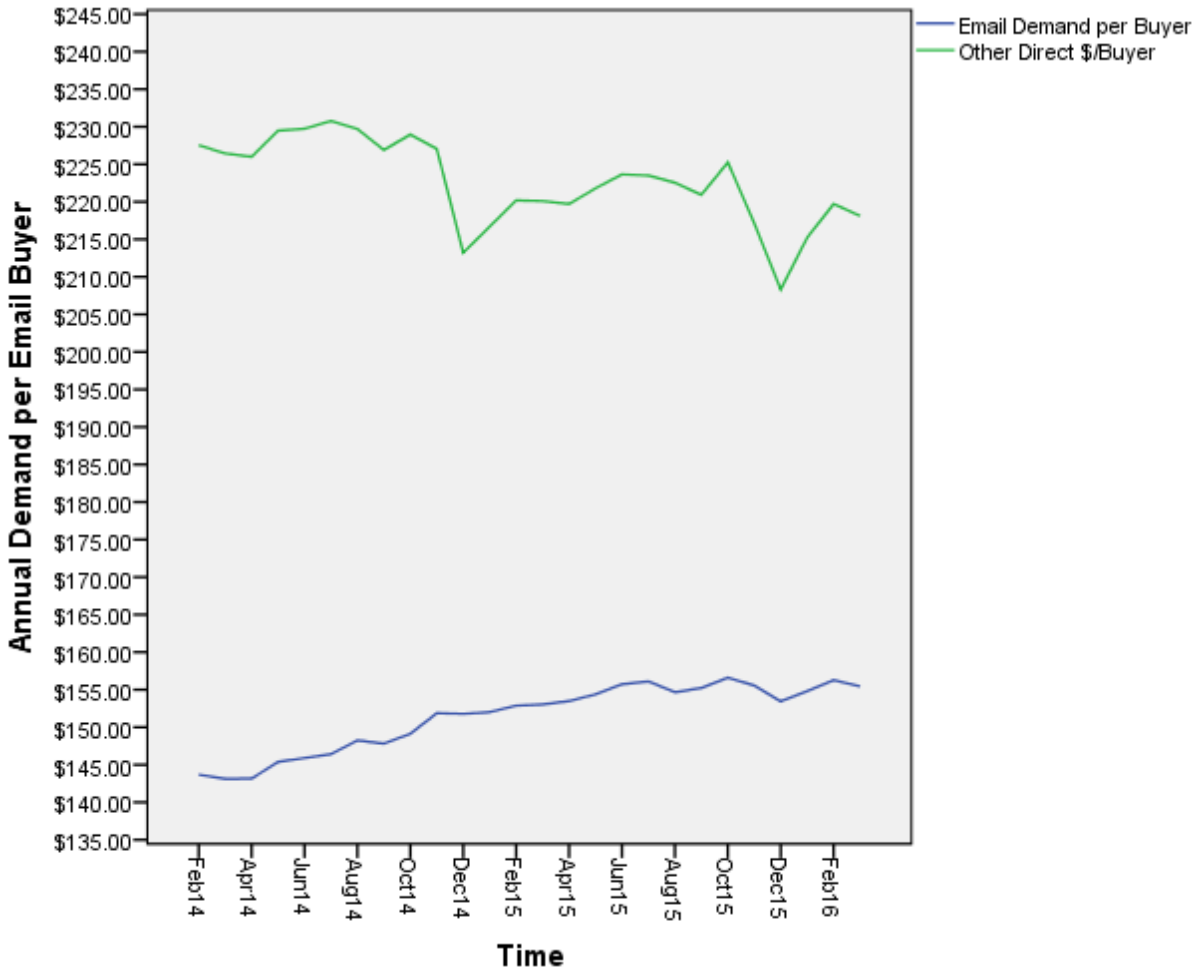
Notice that the number of items is slowly decreasing. This usually happens when the average price point per item purchased increase. Speaking of the average price point per item purchased …



We're up from $45.50ish per item to about $48.50ish per item purchased. I previously mentioned how email buyers love discounted merchandise. Well, we do know that that discounting is on the decline, so that is going to cause the average price per item purchased to increase. In kind, the customer is buying fewer items … it's a game of whack-a-mole.

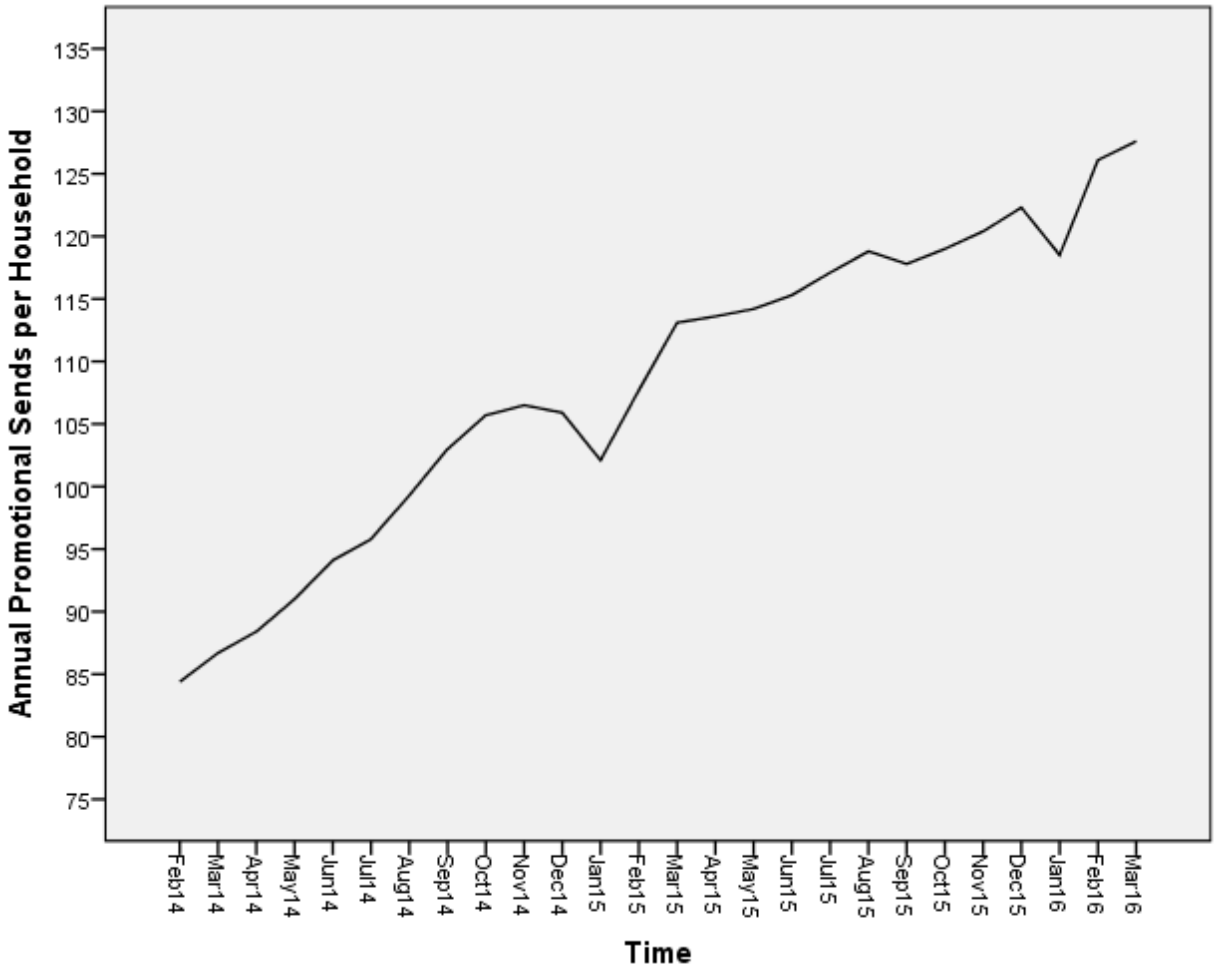
Also notice the seasonal gains … in Fall/Winter, prices increase, then during Spring/Summer prices seem to stabilize. This tells me that your promotional strategy is changing in Fall/Winter, or that merchandising mix trends are yielding increased prices.

Let's look at how much email buyers spend annually … within email marketing, and across the rest of the direct channel.

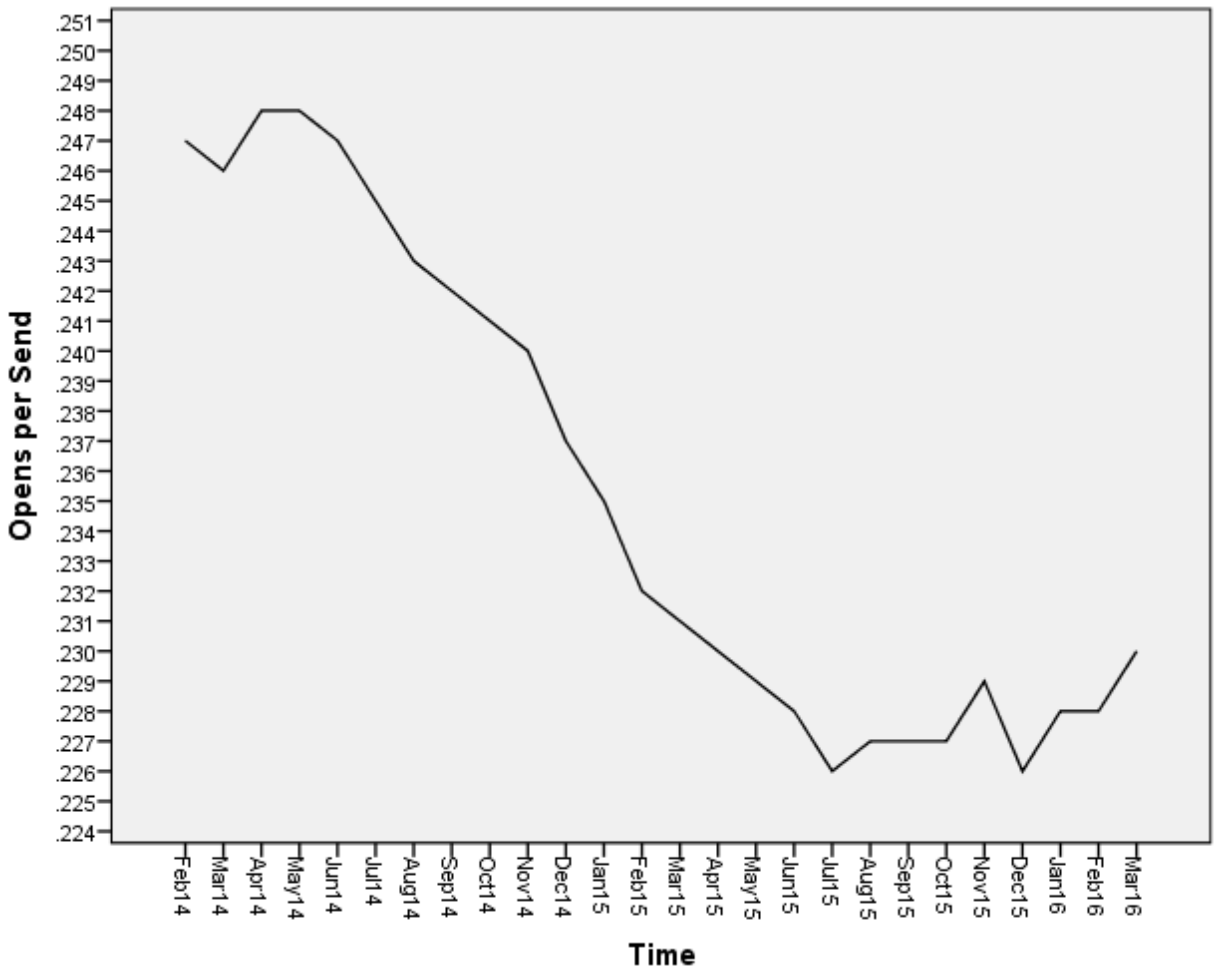


On average, you are extracting close to $10 more from customers in email marketing, but those same customers are then spending about $10 less in all other direct channels. This is a tough dynamic to manage, no doubt about it. As I mentioned several times in the paper, marketing is a game of whack-a-mole … improvements or gains in email marketing frequently come at the expense of other channels. In your case, I noticed that you are sending fewer catalogs to email buyers, so as long as the dollar mix trend continues as illustrated above, you will generate marginally more profit.

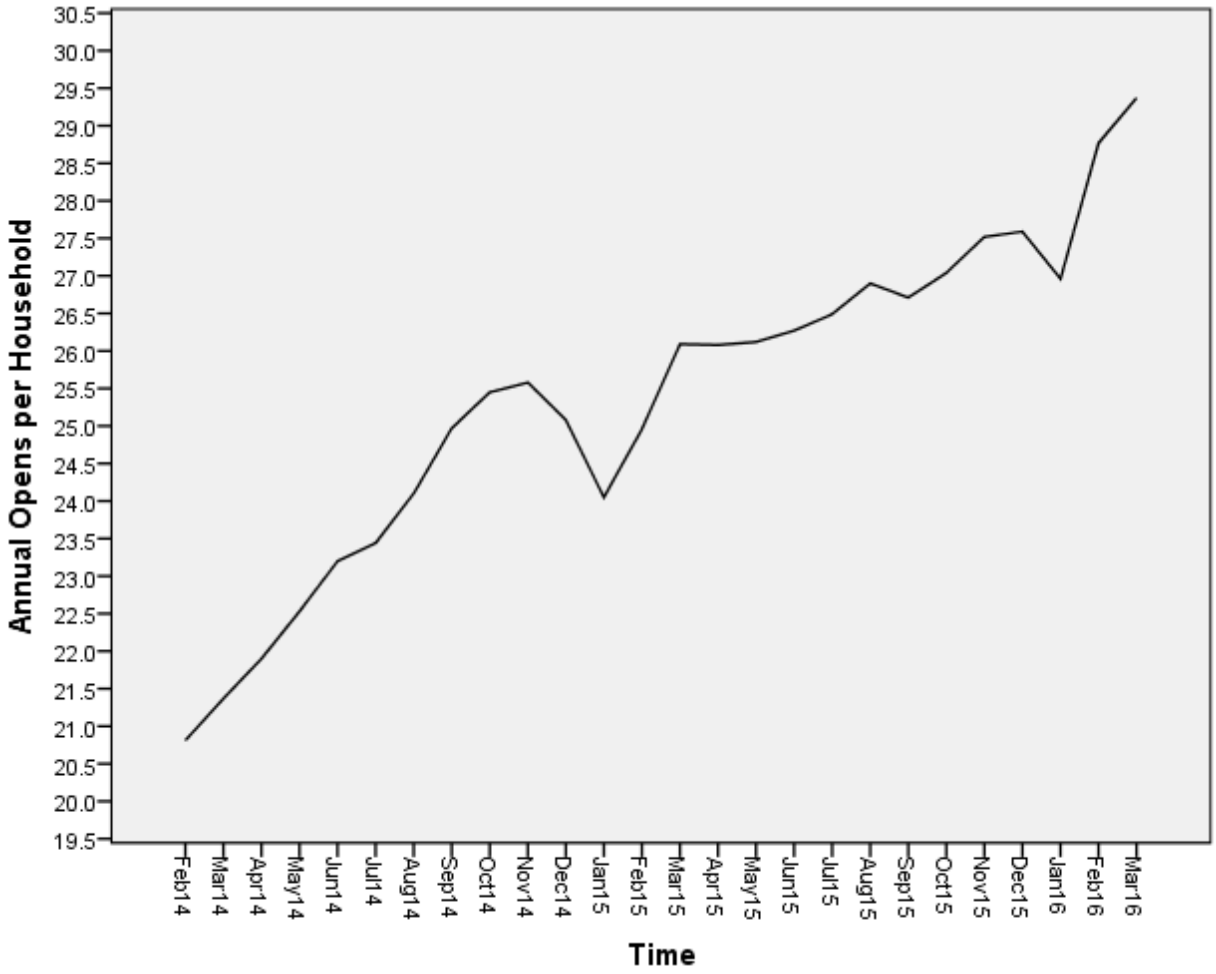
Ok, we've already talked about how you are sending more campaigns … the next graph verifies this fact.



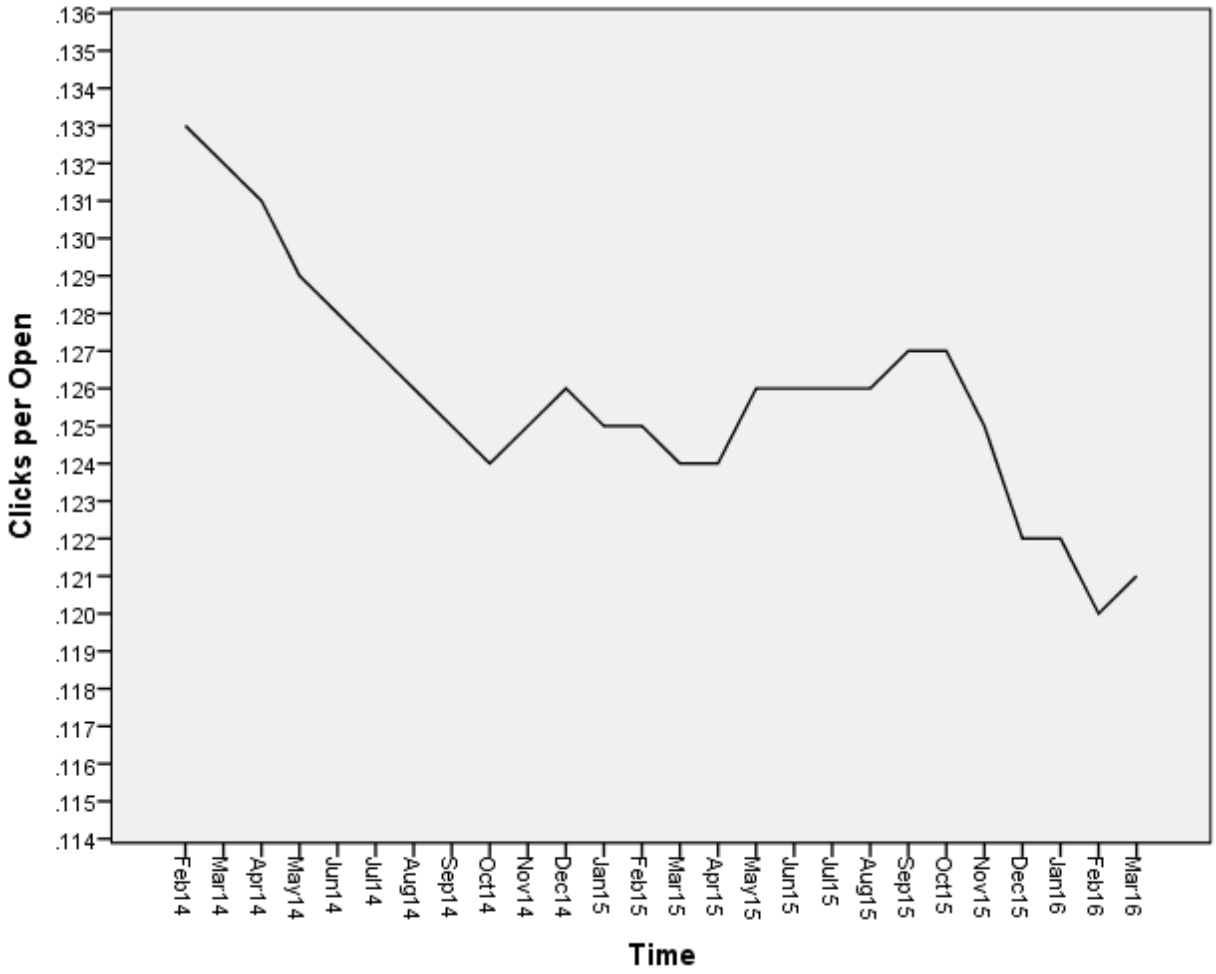
This dynamic causes opens per send to decline … it's not anybody's fault, it's just a simple fact of life that the customer becomes saturated with many more contacts.



By sending more campaigns, you have increased the annual number of opens per household.

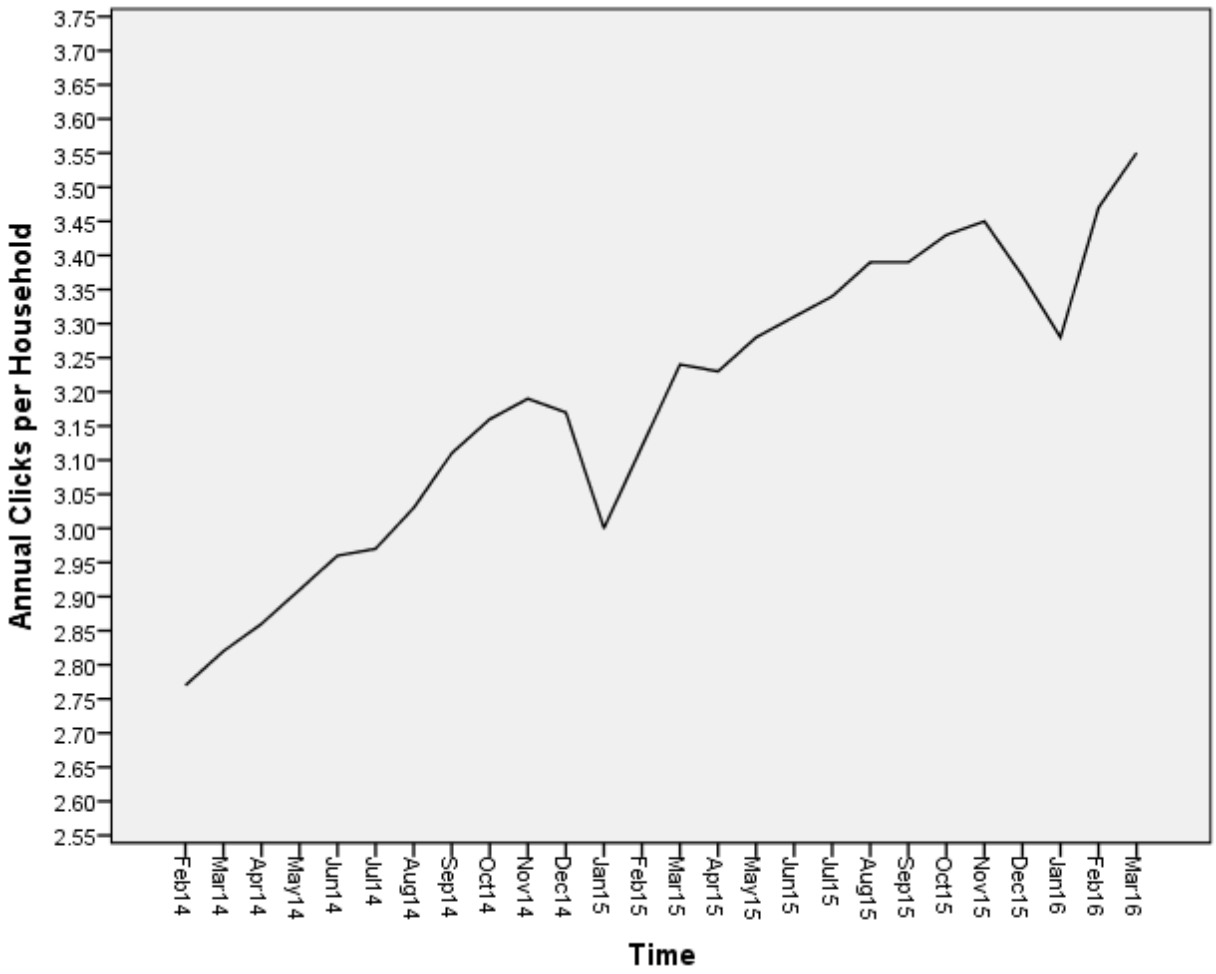


Up next is clicks per open, measured annually on a rolling twelve month basis.



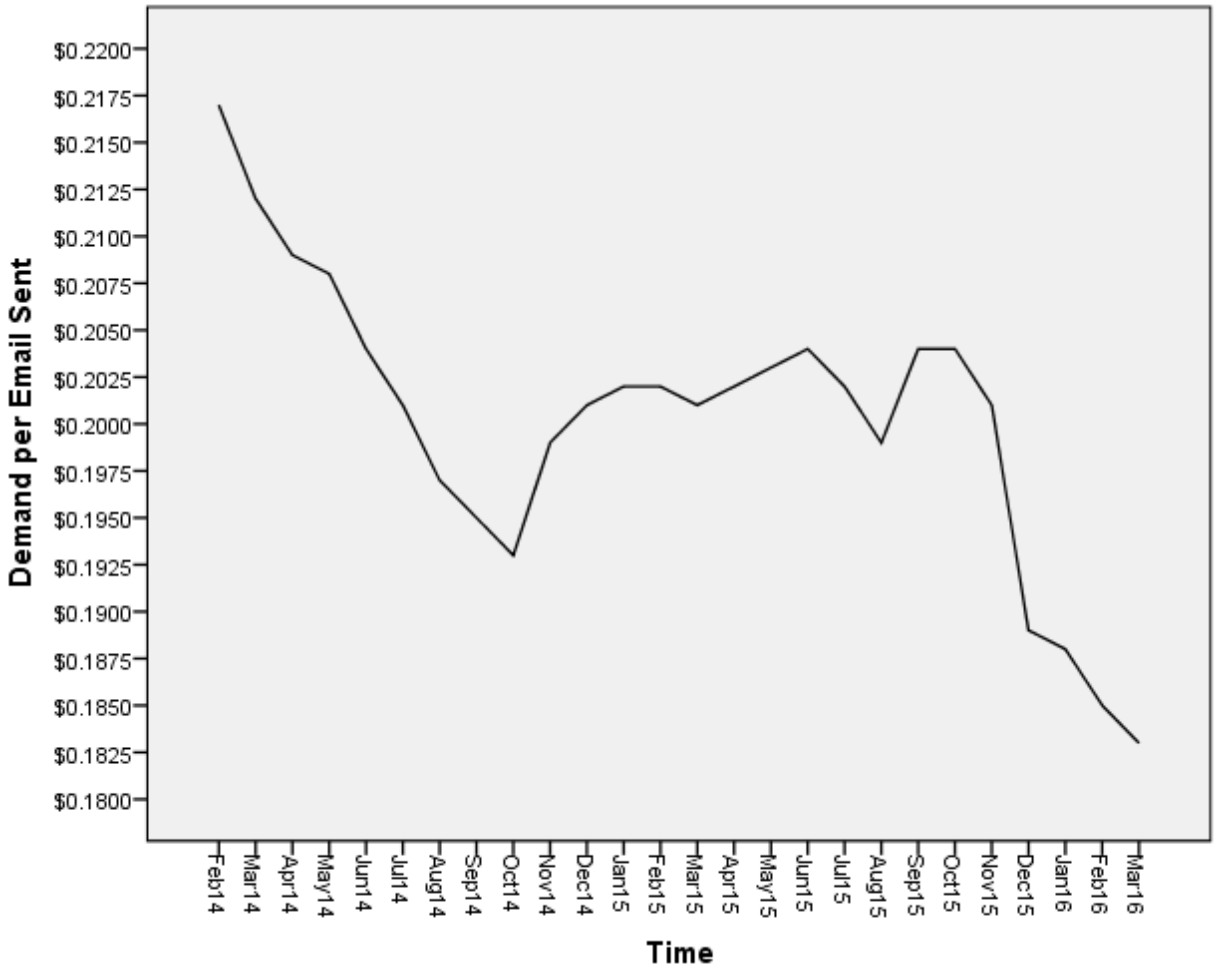
Interestingly, this metric has not remained constant over time … fortunately, raw opens are increasing due to the increase in sends, yielding a positive story. But notice the drop after October 2015 … as you reduced discounting, the campaigns became less "click-worthy" on a rate basis.

But on an annual basis?



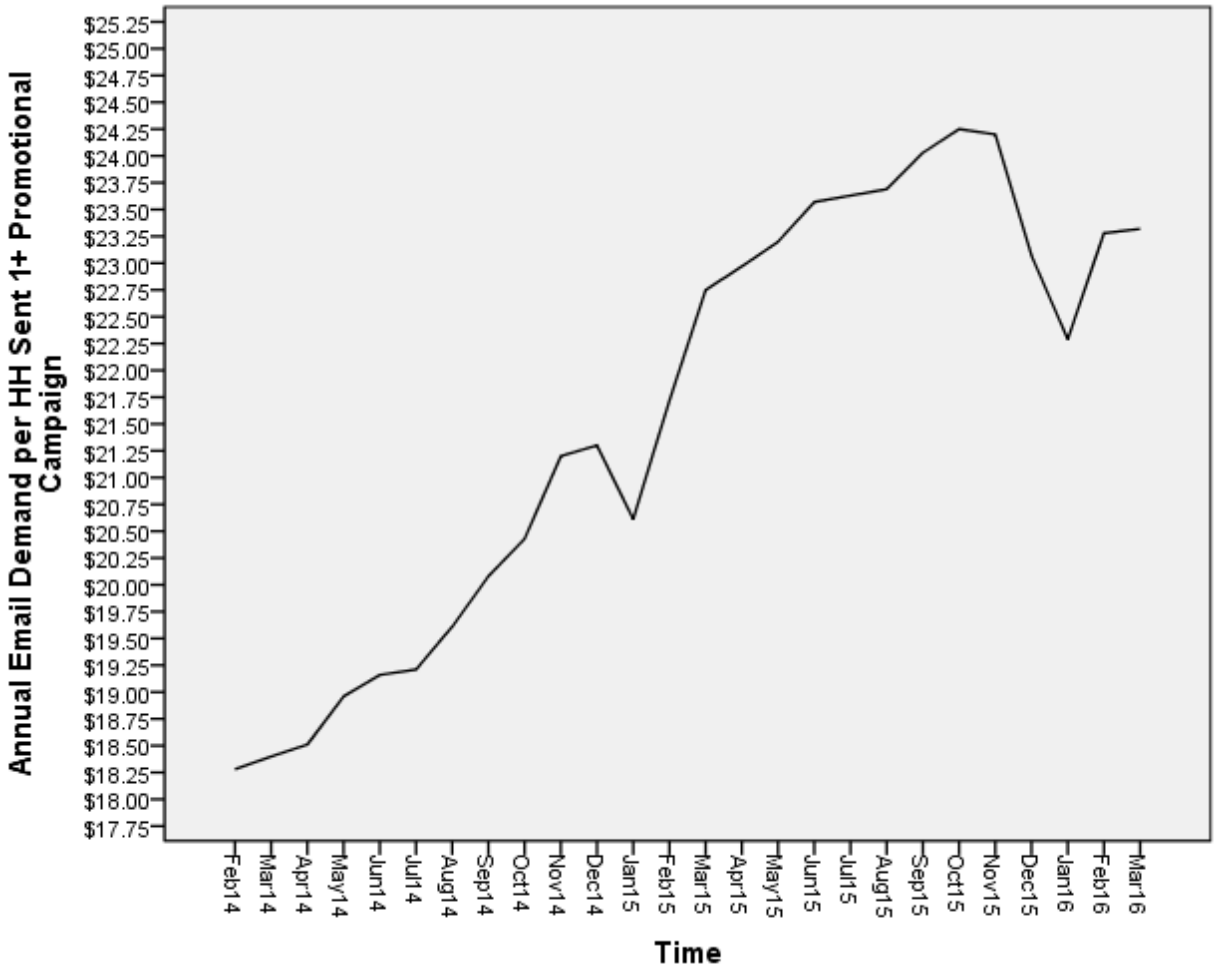
Annually, the story is good, customers are clicking more often … significantly more often.

The combination of metrics coupled with demand generated yield demand per email sent.



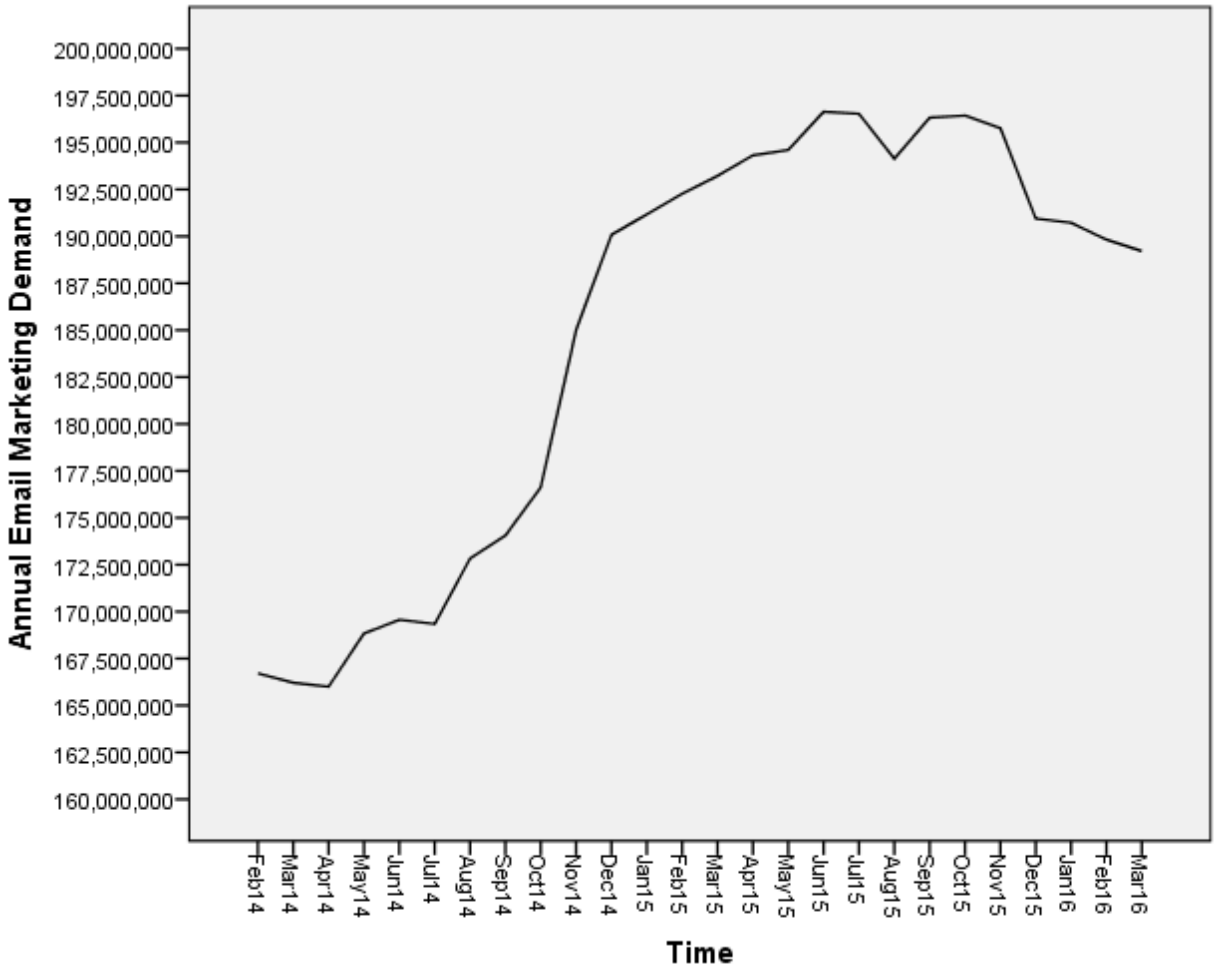
Again, we can see the huge decline in November 2015 – as discounting was scaled back and campaigns were increased, the customer spent less per campaign. But as mentioned earlier, the customer is spending more annually within email marketing, so we can essentially pick-and-choose the metrics that work in our favor. What truly matters is annual volume, as long as annual volume yields an incremental gain and incremental profit.

Here's annual demand from email marketing divided by households sent 1+ campaign per year.



Again, we can see the decline associated with discounting changes in Fall/Winter.

And, as shared via prior tables, here is annual demand attributed to email marketing.



So far, we've established eight facts.

1. You heavily discounted 13-24 years ago, and switched back to more of a full-price focus in the past year.
2. Email gross margins are lowest among direct channels.
3. Email buyers purchase a disproportionate amount of discounted merchandise.
4. Email marketing does not cause customers to be discount-centric in the future. It appears that discount-centric customers are attracted to email marketing.
5. A portion of the recent shortfall in email marketing demand has to be attributed to a reduction in performance of new items.
6. Something happened around January 1, 2015 … causing the number of households to be sent email campaigns and to visit the website to decline. This, to me, seems to be an operational issue (I could be wrong) and not a symptom of good/bad marketing.
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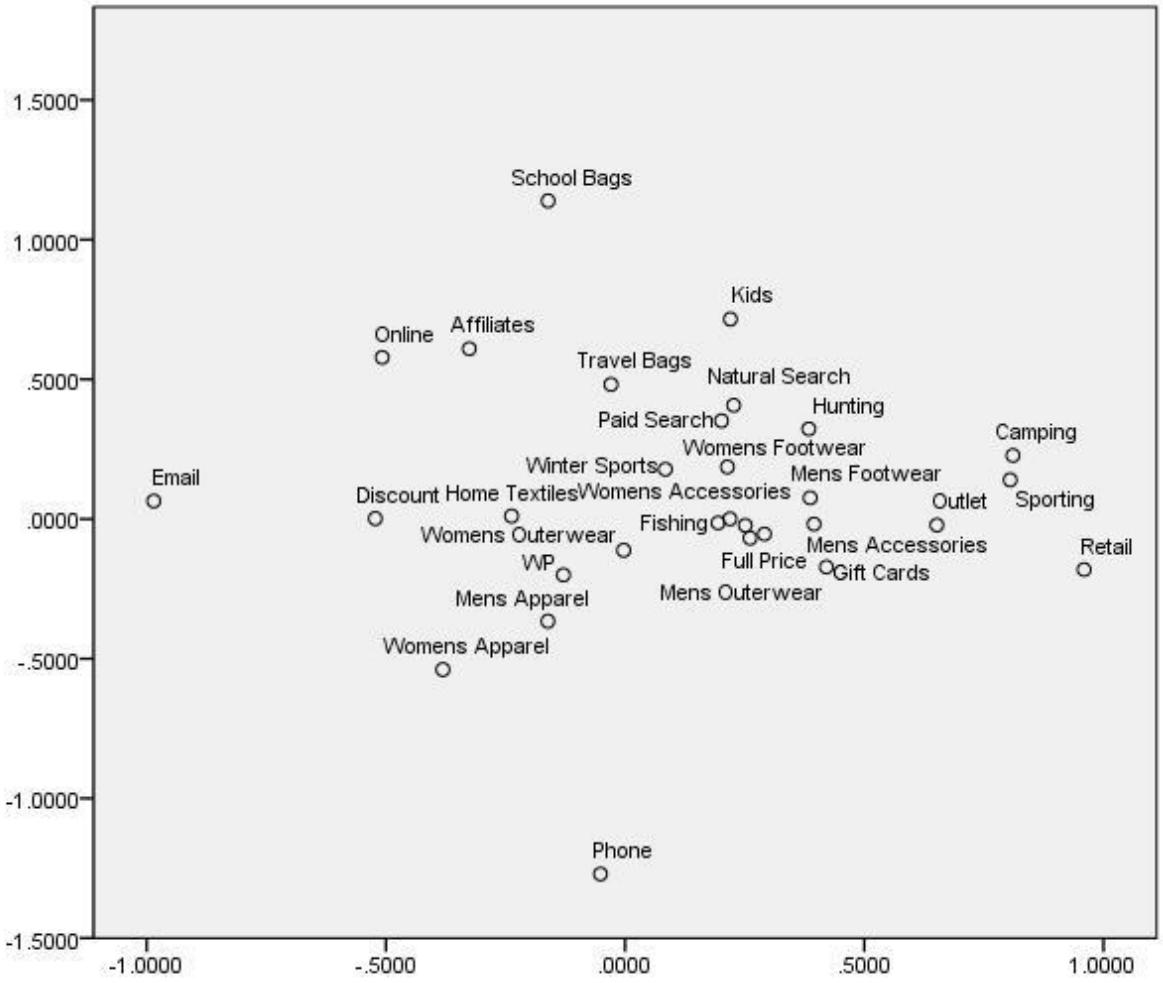
$189,000,000 of annual demand generated by email marketing, and is likely under-stated by several million dollars).

8. Where possible, please try to take a long-term view of email marketing. Individual campaign metrics are skewed by discounting strategy and number of sends per week. If performance (total email demand per household, households with 2+ clicks per year) struggles on a quarterly or annual basis, then there is cause to be concerned.

A Few Catalog Observations

Recall our ecosystem map for the beginning of the paper?



The phone and online dots clearly align near Mens Apaprel, Womens Apparel, and Home … with phone aligning closest to Womens Apparel. This ecosystem map is for the past year. In the metrics I analyzed, I did not see any indication that "catalog" customers were behaving any different than in the past.

I noticed that you mailed fewer catalogs in the year ending 3/31/2016 than in the year ending 3/31/2015. I created a segmentation system to allow me to see the changes, and then by quarter, I measured customer spend changes and catalog contact changes. Here is the table:

1st Quarter Comparison: 2016 vs. 2015 12 Month Buyer File Based On Purchase Frequency

Freq12	13-36Hst	TY Cases	TY Spend	TY Catlgs	LY Cases	LY Spend	LY Catlgs	Cases	Spend	Catalogs
1x	No	1,647,701	$7.79	1.38	1,820,771	$7.86	1.35	-9.5%	-1.0%	2.1%
	Yes	1,890,821	$18.82	3.04	1,852,859	$18.73	3.15	2.0%	0.4%	-3.5%
2x	No	341,443	$15.69	2.31	399,849	$15.66	2.41	-14.6%	0.2%	-4.3%
	Yes	926,878	$32.47	4.39	935,788	$31.52	4.36	-1.0%	3.0%	0.7%
3x	No	90,454	$26.34	3.43	108,861	$26.11	3.41	-16.9%	0.9%	0.4%
	Yes	500,090	$47.24	5.56	510,074	$46.22	5.44	-2.0%	2.2%	2.2%
4x	No	29,782	$37.55	4.40	36,054	$37.76	4.24	-17.4%	-0.6%	3.9%
	Yes	289,096	$62.92	6.46	298,413	$61.46	6.30	-3.1%	2.4%	2.5%
5x - 7x	No	18,391	$63.71	5.41	22,399	$61.01	5.22	-17.9%	4.4%	3.7%
	Yes	364,284	$91.71	7.47	378,660	$89.48	7.38	-3.8%	2.5%	1.1%
8x+	No	3,028	$170.97	6.84	3,801	$158.43	6.74	-20.3%	7.9%	1.5%
	Yes	194,621	$203.87	8.74	203,977	$198.64	9.07	-4.6%	2.6%	-3.7%

4th Quarter Comparison: 2015 vs. 2014 12 Month Buyer File Based On Purchase Frequency

Freq12	13-36Hst	TY Cases	TY Spend	TY Catlgs	LY Cases	LY Spend	LY Catlgs	Cases	Spend	Catalogs
1x	No	1,742,658	$17.29	3.15	1,741,697	$19.40	2.72	0.1%	-10.9%	16.1%
	Yes	1,743,818	$47.50	5.06	1,703,138	$51.47	5.11	2.4%	-7.7%	-1.1%
2x	No	419,931	$31.15	4.46	429,959	$34.51	4.23	-2.3%	-9.7%	5.3%
	Yes	907,254	$72.39	6.10	881,925	$78.13	6.22	2.9%	-7.3%	-1.9%
3x	No	123,302	$47.65	5.41	129,226	$53.27	5.26	-4.6%	-10.5%	2.8%
	Yes	503,819	$98.41	6.74	493,057	$105.45	6.91	2.2%	-6.7%	-2.4%
4x	No	43,642	$64.60	6.06	45,769	$69.99	5.99	-4.6%	-7.7%	1.2%
	Yes	298,025	$124.45	7.10	293,463	$132.61	7.30	1.6%	-6.2%	-2.7%
5x - 7x	No	28,754	$95.15	6.59	30,455	$103.90	6.60	-5.6%	-8.4%	0.0%
	Yes	381,649	$170.56	7.41	378,079	$180.13	7.67	0.9%	-5.3%	-3.4%
8x+	No	4,976	$223.54	7.15	5,468	$225.04	7.29	-9.0%	-0.7%	-1.9%
	Yes	205,969	$335.22	7.76	202,038	$349.96	8.02	1.9%	-4.2%	-3.2%

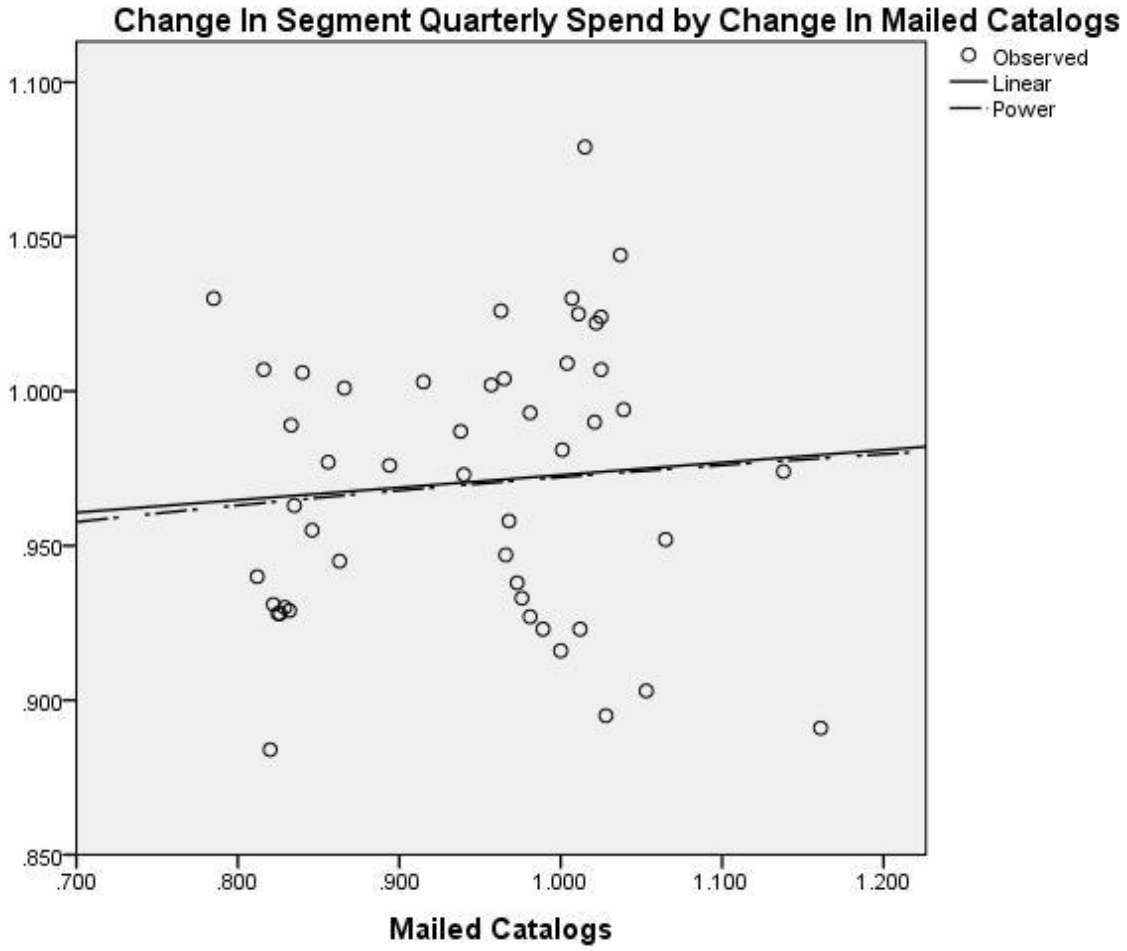
3rd Quarter Comparison: 2015 vs. 2014 12 Month Buyer File Based On Purchase Frequency

Freq12	13-36Hst	TY Cases	TY Spend	TY Catlgs	LY Cases	LY Spend	LY Catlgs	Cases	Spend	Catalogs
1x	No	1,774,803	$6.00	1.34	1,683,443	$6.08	1.42	5.4%	-1.3%	-6.2%
	Yes	1,716,900	$17.87	2.50	1,681,130	$18.71	2.96	2.1%	-4.5%	-15.4%
2x	No	439,942	$11.13	2.07	431,804	$11.78	2.40	1.9%	-5.5%	-13.7%
	Yes	898,189	$28.24	3.13	873,145	$30.44	3.80	2.9%	-7.2%	-17.5%
3x	No	131,496	$18.34	2.62	132,591	$19.04	3.14	-0.8%	-3.7%	-16.5%
	Yes	499,756	$40.29	3.61	487,243	$43.41	4.37	2.6%	-7.2%	-17.4%
4x	No	47,062	$26.65	3.03	47,405	$28.63	3.69	-0.7%	-6.9%	-17.8%
	Yes	296,771	$53.13	3.93	290,172	$57.13	4.74	2.3%	-7.0%	-17.1%
5x - 7x	No	31,455	$40.97	3.45	32,060	$46.37	4.20	-1.9%	-11.6%	-18.0%
	Yes	384,925	$76.72	4.27	373,912	$82.58	5.14	2.9%	-7.1%	-16.8%
8x+	No	5,567	$117.34	4.05	5,849	$118.71	4.86	-4.8%	-1.1%	-16.7%
	Yes	210,854	$176.82	4.67	201,421	$188.04	5.76	4.7%	-6.0%	-18.8%

2nd Quarter Comparison: 2015 vs. 2014 12 Month Buyer File Based On Purchase Frequency

Freq12	13-36Hst	TY Cases	TY Spend	TY Catlgs	LY Cases	LY Spend	LY Catlgs	Cases	Spend	Catalogs
1x	No	1,778,964	$4.65	1.15	1,683,795	$4.88	1.08	5.7%	-4.8%	6.5%
	Yes	1,753,656	$15.68	2.44	1,707,488	$15.56	2.38	2.7%	0.7%	2.5%
2x	No	436,620	$9.67	1.97	429,471	$9.93	1.73	1.7%	-2.6%	13.8%
	Yes	908,928	$26.89	3.23	885,607	$26.82	3.53	2.6%	0.3%	-8.5%
3x	No	127,344	$17.14	2.66	128,918	$17.47	2.66	-1.2%	-1.9%	0.1%
	Yes	501,629	$40.33	3.88	493,410	$40.30	4.47	1.7%	0.1%	-13.4%
4x	No	44,291	$26.87	3.28	44,581	$27.62	3.49	-0.7%	-2.7%	-6.0%
	Yes	296,865	$55.05	4.31	292,139	$54.74	5.13	1.6%	0.6%	-16.0%
5x - 7x	No	28,159	$44.07	3.88	29,002	$45.18	4.34	-2.9%	-2.4%	-10.6%
	Yes	382,347	$81.93	4.72	374,134	$81.39	5.78	2.2%	0.7%	-18.4%
8x+	No	4,606	$116.64	4.55	4,737	$119.33	5.31	-2.8%	-2.3%	-14.4%
	Yes	206,249	$188.86	5.13	197,421	$183.33	6.53	4.5%	3.0%	-21.5%

We can see that there were significant catalog reductions among high-value customers in 2nd quarter, across the board and skewed to high-value customers in 3rd quarter, and close-to-no-change in 4th quarter and 1st quarter. I then mapped the change in spend at a segment/quarter level to the change in catalog contacts at a segment/quarter level. Against a scatterplot, I looked to see if catalog reductions caused spending reductions. The results were quite surprising.



Here's how to read the line.

- A 20% reduction in contacts yielded a 4% reduction in demand.
- A 20% increase in contacts yielded a 2.5% reduction in demand.

In other words, 40 points in contact change yielded a 1.5 point demand change.

With an R-Squared of under 1%, it means that 99% of the spend reduction observed in our comp segment framework and other analytics is happening outside of reductions in the catalog contact strategy.

The tables did illustrate an anomaly in your data, compared to other companies I analyze. Look at each quarter – and look at customers with 1x purchase in the past year

and 0 purchases 13-36 months ago. How often were these customers contacted, each quarter? The average is around 1.7 mailings per quarter, 6.6ish per year. That might be the lowest total I've observed across my client base. Now, I happily concede that this might be the exact right thing to do – it might be the most profitable strategy, and given your sophistication, it probably is the most profitable strategy. Just be aware that first-time buyers (even online buyers) are most likely to repurchase within 90 days of a first purchase. If there ever was a time to open the floodgates and send catalogs, it is in the first 90 days following a first purchase. Then, the contacts are typically dialed back a bit.

In looking at your customer base, I noticed a healthy reduction in new + reactivated customers (those who purchase for the first time, or last purchased 13+ months ago). Look at the table below.

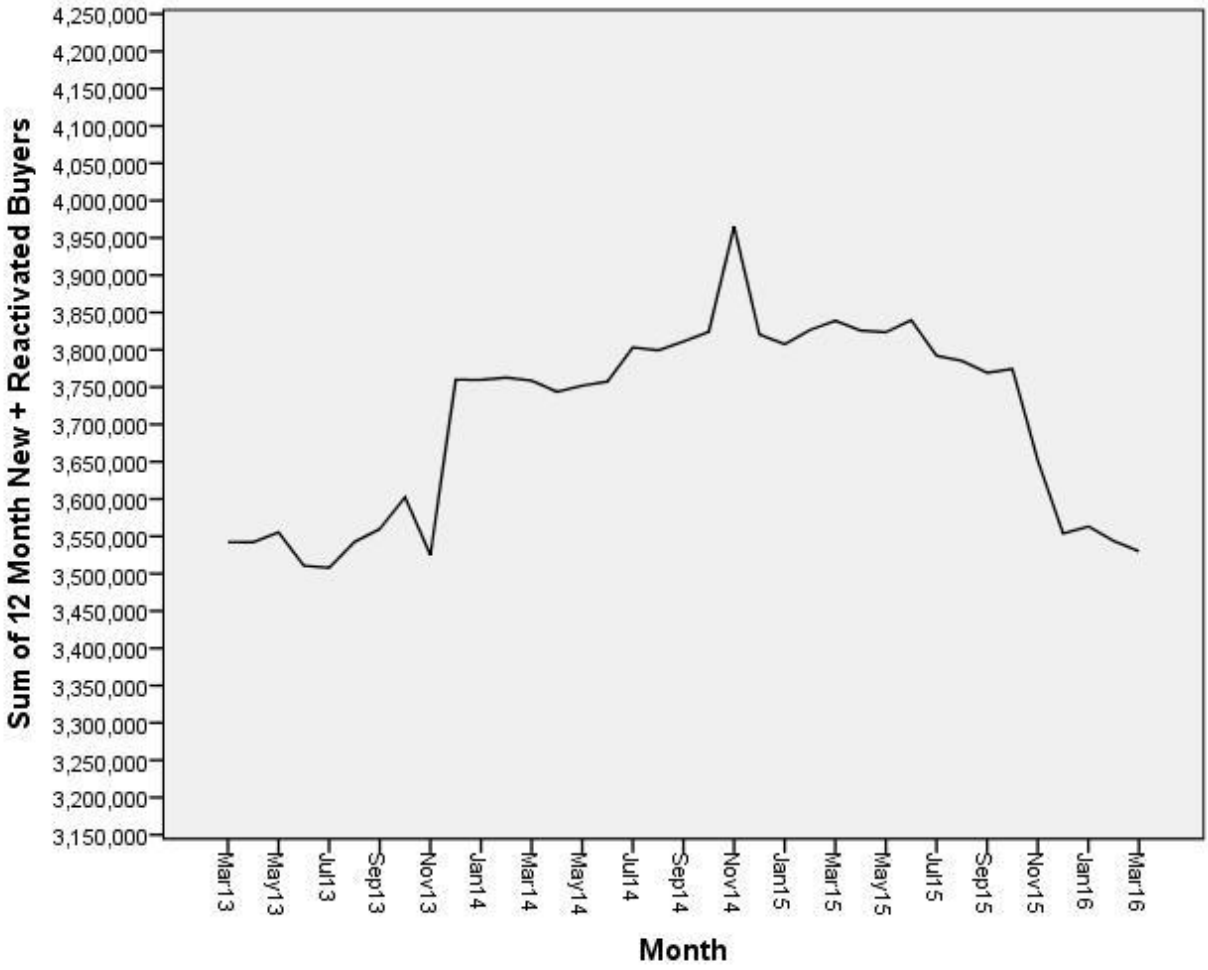
Year Ending	New + Reactivated	Change	Mail/Phone	Online	CSE	Affiliates	Email	Nat Search	Paid Search	WP
Apr-16	2,931,912	-9.7%	$83,879,195	$124,124,454	$1,924,725	$13,347,180	$37,053,351	$47,109,588	$94,525,627	$34,590,296
Apr-15	3,247,194	2.0%	$101,918,288	$140,843,610	$4,171,939	$13,644,764	$41,089,695	$47,243,684	$94,264,698	$39,941,557
Apr-14	3,183,367	6.9%	$113,804,630	$143,789,454	$2,438,519	$10,038,086	$37,998,659	$46,696,787	$87,245,661	$38,466,390
Apr-13	2,977,049		$111,831,591	$128,545,510	$3,296,276	$7,354,321	$36,854,271	$36,389,223	$74,479,622	$35,092,649

Counts dropped by about 10% in the past year.

When I look at demand from new + reactivated buyers, I notice healthy drops in mail/phone/online/cse … I see that affiliates + natural search + paid search remains constant. This strongly suggests to me that the drop is catalog related. And since comp segment performance is only down a couple of points and housefile spending declines are not correlated with catalog reductions, I have to believe this is an investment decision being made against catalog customer acquisition audiences, or a significant erosion in the performance of catalog customer acquisition audiences.

Also interesting – the drop in demand among new + reactivated buyers aligns with the drop in demand in your direct channel. *One can make the case that a reduction in new items and/or performance and a drop in catalog prospecting (my guess) combines to cause the drop in demand observed in the year ending 3/31/2016*.

I measured rolling twelve month new + reactivated customers. The counts overstate actual new + reactivated counts for a series of reasons I won't go into here … so all I want to accomplish is identification of when trends emerged. The graph below will make the trends obvious to most readers.



And here is the corresponding table.

New + Reactivated Comp Counts								
	2016	2015	2014	2013	16v15	15v14	14v13	16v13
March	145,761	159,728	147,222	151,288	-8.7%	8.5%	-2.7%	-3.7%
February	181,424	200,791	181,569	178,377	-9.6%	10.6%	1.8%	1.7%
January	269,295	259,996	273,116	273,551	3.6%	-4.8%	-0.2%	-1.6%
December	887,999	985,769	1,130,482	895,375	-9.9%	-12.8%	26.3%	-0.8%
November	606,164	728,807	587,603	665,069	-16.8%	24.0%	-11.6%	-8.9%
October	306,273	301,144	288,398	245,862	1.7%	4.4%	17.3%	24.6%
September	226,332	242,255	230,287	213,021	-6.6%	5.2%	8.1%	6.2%
August	238,525	245,482	249,369	214,687	-2.8%	-1.6%	16.2%	11.1%
July	217,296	264,984	219,206	221,936	-18.0%	20.9%	-1.2%	-2.1%
June	158,603	142,465	137,123	181,898	11.3%	3.9%	-24.6%	-12.8%
May	159,138	161,411	153,097	139,881	-1.4%	5.4%	9.4%	13.8%
April	133,079	146,272	161,225	161,272	-9.0%	-9.3%	0.0%	-17.5%
Totals	3,529,889	3,839,104	3,758,697	3,542,217	-8.1%	2.1%	6.1%	-0.3%

It looks to me, and you can tell me if I am wrong, that somebody decided to invest more in new + reactivated buyers around December 2013 … and then reversed that decision in July 2015.

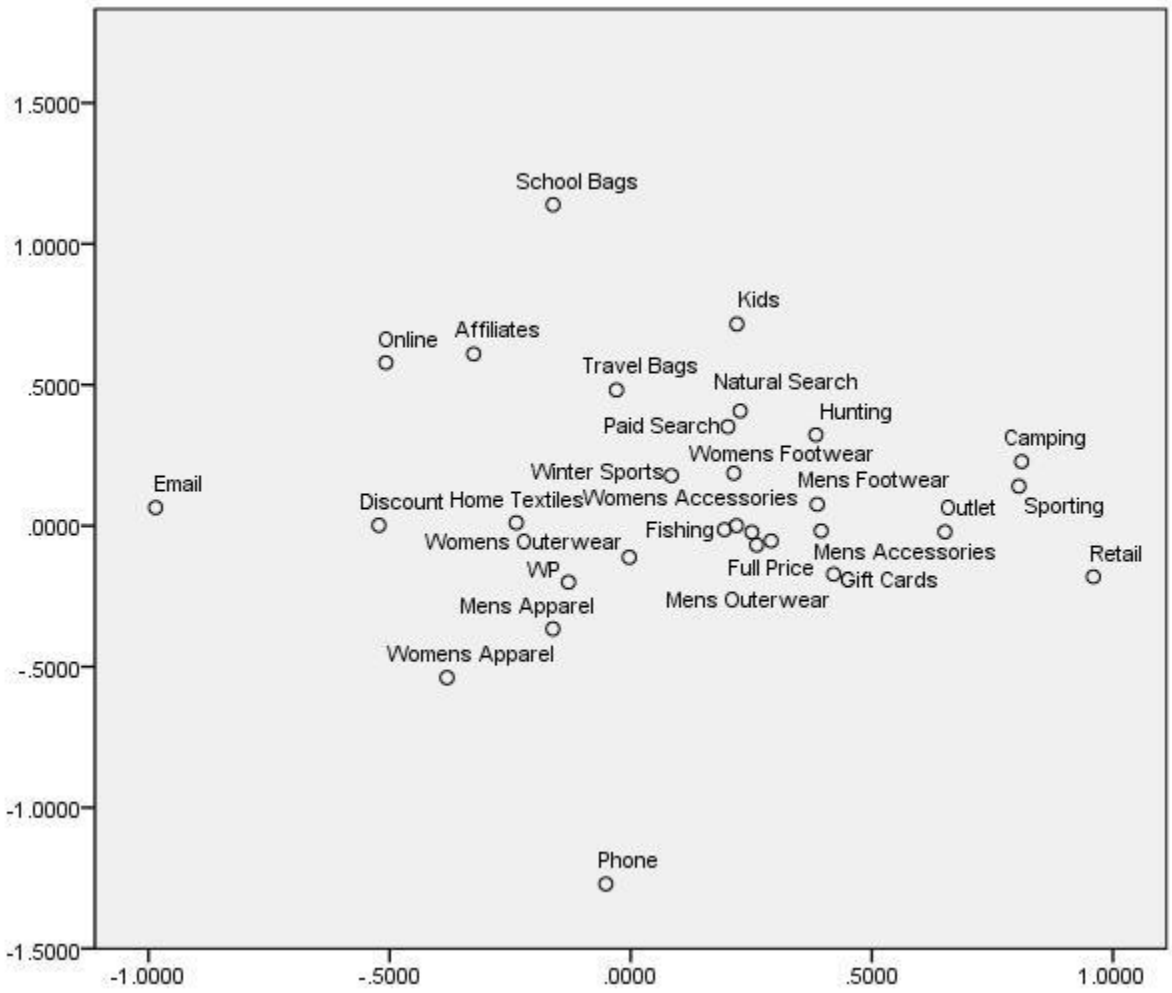
Again, this might be the most profitable decision for L.L. Bean. I just wanted to point it out, in case anybody missed the trend.

We have established eleven facts.

12. You heavily discounted 13-24 years ago, and switched back to more of a full-price focus in the past year.
13. Email gross margins are lowest among direct channels.
14. Email buyers purchase a disproportionate amount of discounted merchandise.
15. Email marketing does not cause customers to be discount-centric in the future. It appears that discount-centric customers are attracted to email marketing.
16. A portion of the recent shortfall in email marketing demand has to be attributed to a reduction in performance of new items.
17. Something happened around January 1, 2015 … causing the number of households to be sent email campaigns and to visit the website to decline. This, to me, seems to be an operational issue (I could be wrong) and not a symptom of good/bad marketing.
18. You are unable to see $35,000,000 of incremental future demand (and likely $10,000,000 of future incremental profit) generated by those who simply click on multiple email campaigns per year. This value is above-and-beyond the $189,000,000 of annual demand generated by email marketing, and is likely under-stated by several million dollars).
19. Where possible, please try to take a long-term view of email marketing. Individual campaign metrics are skewed by discounting strategy and number of sends per week. If performance (total email demand per household, households with 2+ clicks per year) struggles on a quarterly or annual basis, then there is cause to be concerned.
20. There is no correlation in the modest reduction in customer spend and the modest reduction in catalog circulation per household. Spend changes are not happening because of the catalog, based on the data I analyzed.
21. There appears to be a change in catalog new + reactivated investment – increases in December 2013 – June 2015, followed by reductions beginning in July 2015. This may be the right thing for the business, I just want you to be aware of it.
22. One can make the case that the drop in demand in the year ending 3/31/2016 is caused by a drop in quantity/quality of new items and a drop in catalog prospecting/reactivation.

The L.L. Bean Ecosystem

I'd like to wrap up by once again pointing us to this image.



You operate within an ecosystem. Your channels and merchandise offerings and pricing strategies interact, causing customers to align with the channels that meet their needs. Ultimately, you appear to have a "brand umbrella" that allows channel-based flexibility. This is how you have set up your interpretation of an "omnichannel" strategy.

There is no right/wrong way to set up an "omnichannel" strategy.

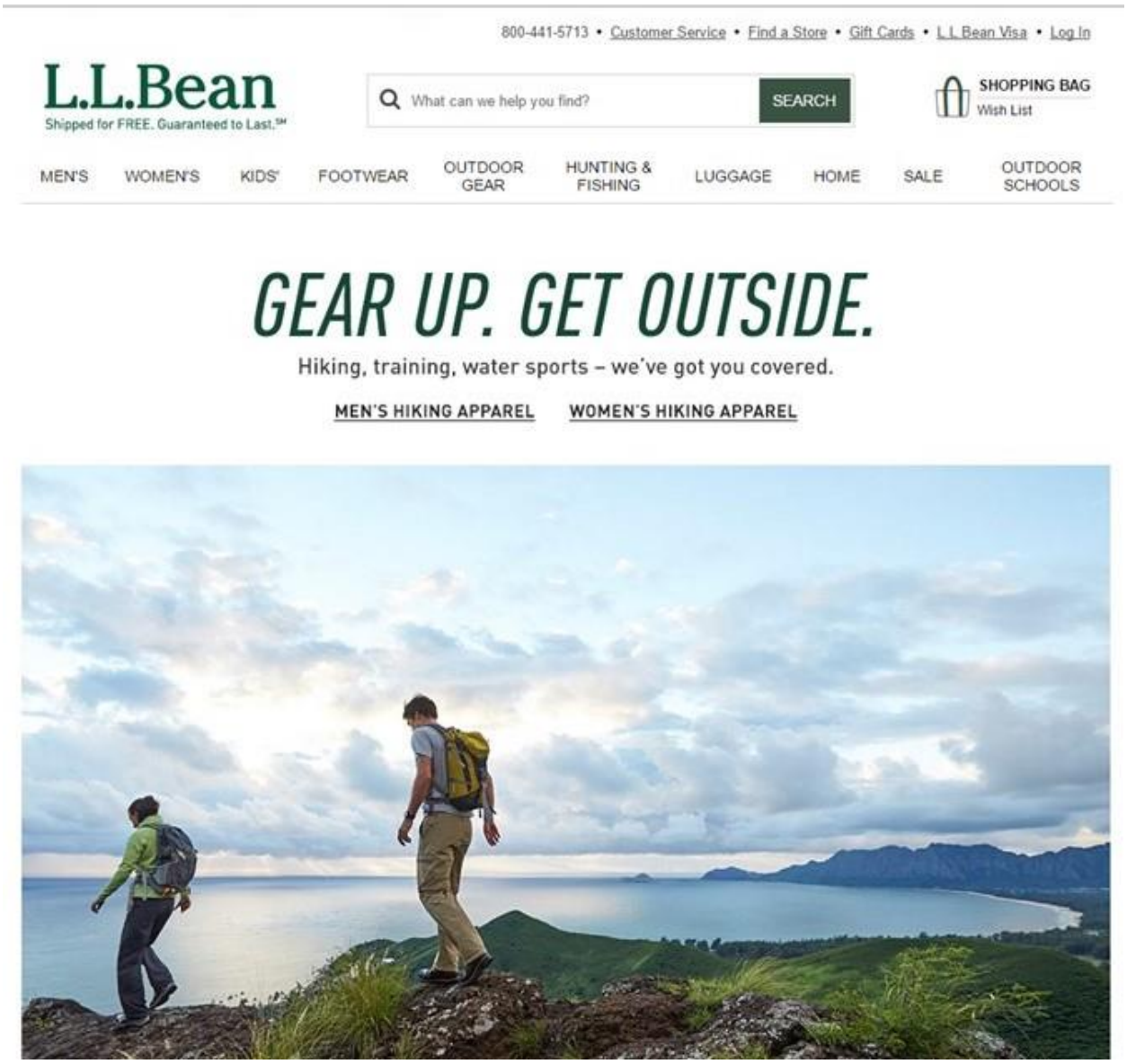
Remember how I started this paper? I discussed a retailer I work with. The retailer decided to execute the opposite of the strategy you currently employ. The retailer pared down the merchandise assortment, offering the same assortment at the same prices with the same discounts/promotions in all channels. The result? Every channel struggled, and worse, customer acquisition activities struggled even more. The customer acquisition problems continue today – and even with flat merchandise productivity (after a significant decline), the business flounders because the business cannot acquire enough new customers to begin growing again.

Someday, the trends will reverse, and growth will begin anew. Someday after that, the retailer may experience considerable success. They may well be making the correct long-term decision. Or they may be destroying their brand. Nobody knows for sure.

You operate an "umbrella brand", if you will. Each channel serves a purpose, and has a gravity associated with it, pulling the customer in their direction.

- Catalog = Apparel merchandise preferred by rural shoppers.
- Retail = Masculine outdoor theme enabling L.L. Bean to compete in stores and avoid the square footage glut associated with womens apparel.
- Email = The place where customers leverage promotions.
- Online = The umbrella that represents the merger of catalog and retail strategy.
- Search = The place where customers compare their interpretation of L.L. Bean to the competition.

Your website has to merge all of the interpretations. Look at a recent screen shot of the home page (and I realize that half your customers do not enter via the home page … but it means that tens of millions of visitors do enter that way).



This presentation is a compromise across channels, but allows each channel to serve their own purpose.

Each channel possesses its own gravity.

I looked at what customers purchased in the direct channel last year, based on whether the customer purchased at retail last year or not.

Merchandise Group	No Retail	Yes Retail		% No Ret	% Yes Ret
Boys	$8,392,047	$2,706,914		0.7%	1.0%
Camping and Hiking	$13,797,060	$4,868,518		1.2%	1.8%
Fishing	$9,173,807	$2,712,161		0.8%	1.0%
General Sporting	$11,835,307	$4,218,704		1.0%	1.6%
Gift Cards / Certificates	$9,347,234	$3,128,221		0.8%	1.2%
Girls	$8,397,721	$2,875,961		0.7%	1.1%
Home Accessories	$41,488,598	$8,772,319		3.6%	3.3%
Home Textiles	$59,233,237	$14,507,638		5.2%	5.5%
Hunting	$14,213,582	$3,575,109		1.2%	1.4%
Kids Joint	$15,761,411	$4,970,118		1.4%	1.9%
Mens Accessories	$16,486,309	$3,890,148		1.4%	1.5%
Mens Apparel	$235,780,261	$46,950,648		20.7%	17.8%
Mens Footwear	$88,282,285	$17,398,726		7.7%	6.6%
Mens Outerwear	$43,973,765	$11,745,288		3.9%	4.5%
School Bags and Accessories	$24,795,605	$3,079,583		2.2%	1.2%
Travel Bags and Accessories	$40,611,534	$7,890,293		3.6%	3.0%
Winter Sports	$11,872,048	$4,258,367		1.0%	1.6%
Womens Accessories	$8,909,117	$2,301,135		0.8%	0.9%
Womens Apparel	$269,093,577	$56,716,686		23.6%	21.5%
Womens Footwear	$92,947,960	$20,766,677		8.1%	7.9%
Womens Outerwear	$77,164,361	$20,581,007		6.8%	7.8%
Other	$39,691,551	$15,491,472		3.5%	5.9%
Totals	$1,141,248,377	$263,405,693			
Merchandise Group	No Retail	Yes Retail		% No Ret	% Yes Ret
Mail / Phone	$248,644,210	$61,955,470		21.8%	23.5%
Online Other	$320,695,548	$74,170,767		28.1%	28.2%
Comparison Shopping Engine	$2,718,880	$264,458		0.2%	0.1%
E-Marketing Affiliates	$26,983,084	$5,401,169		2.4%	2.1%
Email Marketing	$151,790,392	$37,354,546		13.3%	14.2%
Natural Search	$92,633,677	$19,385,292		8.1%	7.4%
Paid Search	$194,721,710	$36,393,137		17.1%	13.8%
WP	$103,060,471	$28,480,851		9.0%	10.8%
Totals	$1,141,247,972	$263,405,690			

The differences are subtle. But there are differences. You can see how the retail channel pulls customers into retail-ish merchandise online (and via the phone / catalog).

And conversely, we saw how the email channel pulls customers who want to purchase via discounts/promotions, but does not cause the customers to purchase that way in other channels. The “gravity” of each channel is not uniform.

Retailers who possess this style of ecosystem have choices.

1. Do nothing different.
2. Create an integrated omnichannel experience.
3. Capitalize on customer acquisition for growth, optimize profit by personalizing the catalog / online / email experience based on prior purchasing behavior.

In your case, customers are locked-in to their annual behavior – pulled in different directions by each channel – but locked-in to rebuy rates and purchase frequency. Direct channel rebuy rates have been within one point of fifty percent for each of the past four years. It is unlikely you will get customers to "purchase more often" – with growth through price increases being possible, of course. But purchase frequency and rebuy rates are essentially locked-in. And rates of customers crossing over from retail to direct are essentially locked-in as well. This means that growth must come from customer acquisition activities in the direct channel, and/or new store growth. But within the direct channel, customer acquisition is critically important. You already know this, so no need to discuss it further.